GRUPO BIMBO

NOURISHING A BETTER WORLD



Nourishing a BETTER WORLD

2017 Integrated Annual Report



About Us

We are the largest baking company in the world[1] and a key participant in snacks, generating US $14.1 billion[2] in net sales in 2017. Our main product lines include fresh and frozen sliced bread, buns, cookies, snack cakes, English muffins, bagels, pre-packaged foods, tortillas, salted snacks and confectionery products, among others, in 32 countries throughout the Americas, Europe, Asia and Africa. Our shares trade on the Mexican Stock Exchange (BMV) under the ticker symbol BIMBO, and in the over-the-counter market in the United States with a Level 1 ADR, under the ticker symbol BMBOY.

[1] Source: IBISWorld Global
[2] Based on an average FX rate of Ps. 18.94 in 2017

Nourishing a Better World

This is our slogan. For **72 years, we have provided high-quality products to consumers** as part of our mission to provide delicious and nutritious baked goods and snacks in the hands of all.





(GRI: 102-46)

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In Memoriam

“We should see our daily work as a mission, a pa ssion and an adventure”

Don Lorenzo Servitje, founder of Grupo Bimbo
1918-2017



2017 Highlights

(GRI: 201-1, 102-7, 102-8, 305-1, 305-2, 305-3, 403-2)

Strong sales growth supported by solid organic performance and acquisitions

Set a record of the number of clients served, reaching **more than 3 million points of sale**

Entered 10 new countries, significantly enhancing our global profile

Accessed capital, strengthening our debt profile by increasing the average tenor to 11.4 years

Acquired East Balt Bakeries, Bays Foods, Adghal Group, Ready Roti and Stonemill Bakehouse, **diversifying and broadening our leadership in the baking industry**

4% decrease of diesel consumption for primary transportation vs. 2016, accumulating 31% in the last 7 years



47% of our product portfolio is in the **Best & Better** categories*



Snaps Sea Salt
Air-popped popcorn without preservatives, artificial colors or trans fats

1st place in Merco's ranking, **as the most responsible company in Mexico,** since 2014

*According to Grupo Bimbo's Nutritional Profiling System (Calculation based on products that represent 80% total sales + new launches)

Key figures

Economic and financial
(millions of Mexican pesos)

Net sales	Operating income	Adjusted EBITDA	Net majority income	Market capitalization
267,515	**17,472**	**27,288**	**4,630**	**204,636**
6.1% increase	*3.4% decrease*	*6.9% decrease*	*21.5% decrease*	

Environmental

1,569,252
Direct (Scope 1,2,3) CO_2e emissions **(Ton)**
1% reduction vs. 2016

303,050
(Ton) total waste
92% recycling

4,886,204 m³
water consumption
18% reduction vs. 2009

Social

+ 138,000
Total associates worldwide

1.96
Accident rate
15% decrease vs. 2016
400 fewer accidents

$123
in Donations
(millions of pesos)



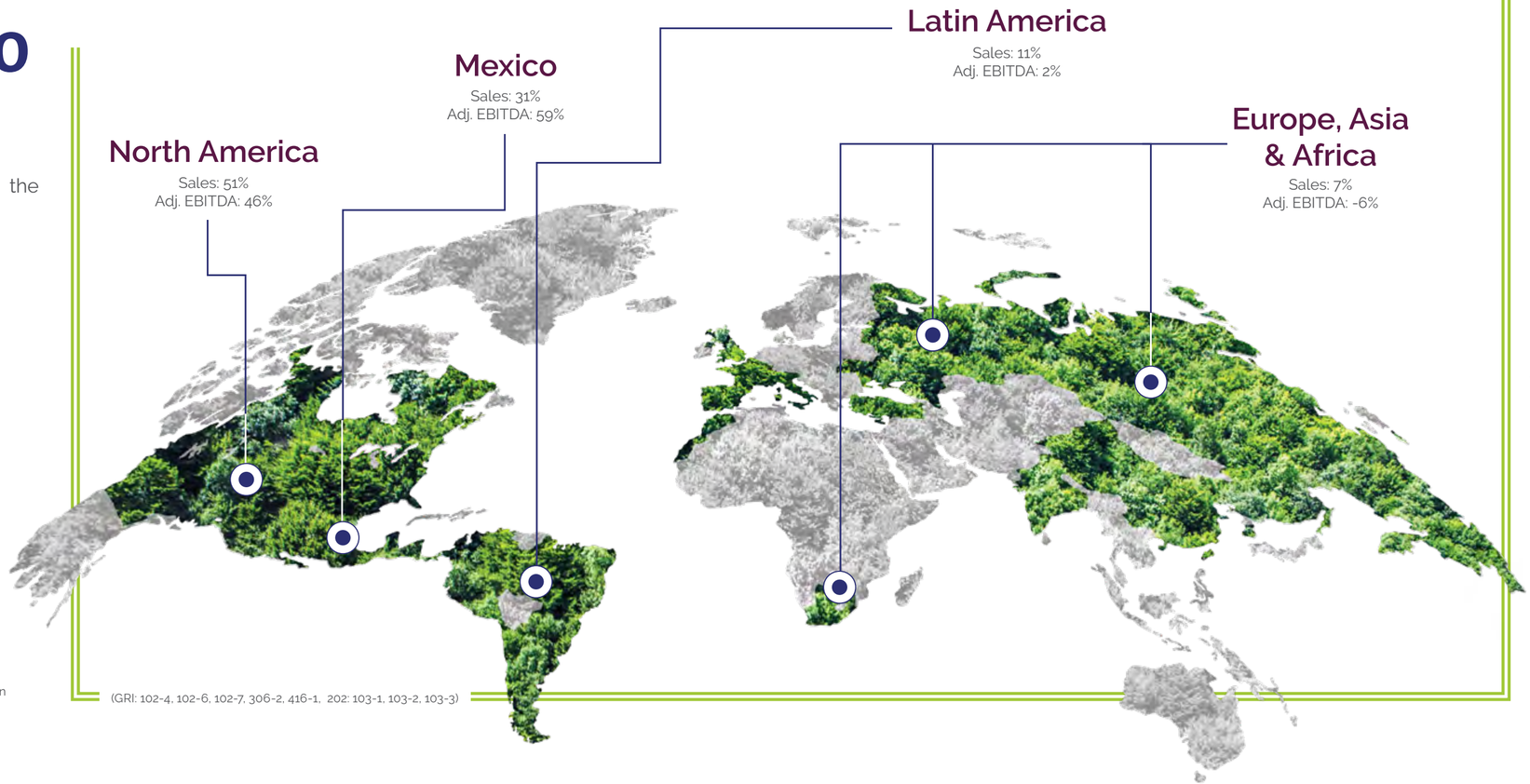
Gansito
#1 cake in its category

Grupo Bimbo Today

We are the largest baking Company in the world with presence in **32 countries.**

"Integrity **should not only be seen as compliance with the law, rules and procedures; it goes beyond that,** it is part of our culture."

Daniel Servitje, Chairman & CEO



(GRI: 102-4, 102-6, 102-7, 306-2, 416-1, 202: 103-1, 103-2, 103-3)

EBITDA: Earnings before interests, taxes, depreciation, amortization and other non-cash items

Our footprint

196 plants

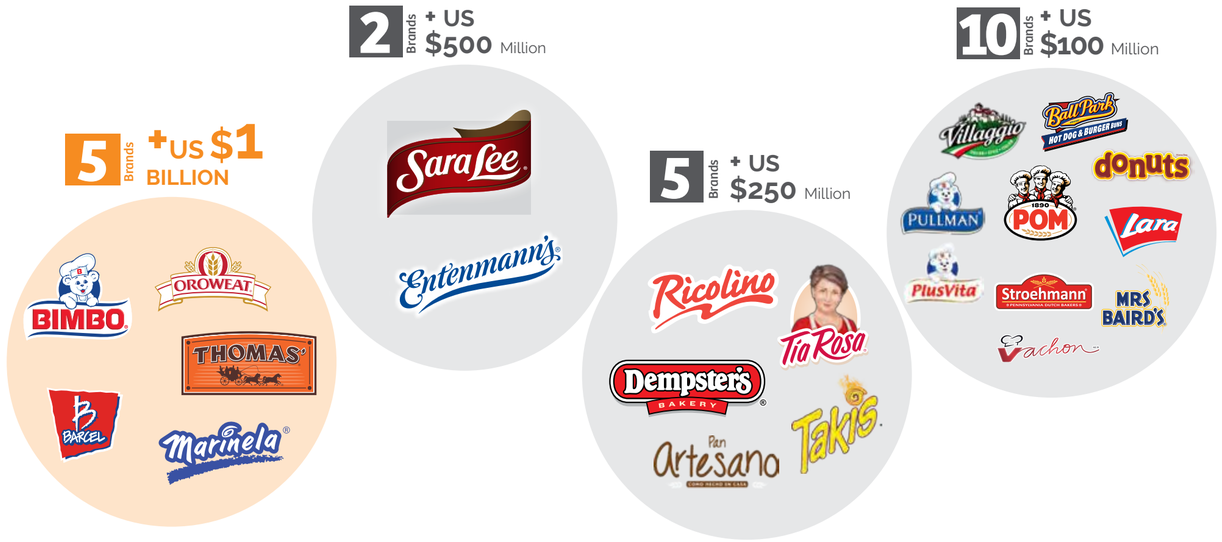
+58,000 routes

+3.0 m points of sale

Our Brands

(GRI:102-2)

We have developed more than 100 enduring and meaningful brands with top of mind awareness in the markets where we operate.



Source: Internal information on estimated retail sales by brand during the last 12 months as of September 30, 2017

"We strive to maintain **an emotional bond with our consumers and to develop customer** loyalty through our brands"

Gabino Gómez, Executive VP

Our products hold a strong leadership position across markets

We develop and offer products with superior quality that nourish and delight our consumers, provide clear information on the nutritional profiles of our products and promote health and wellness initiatives that encourage healthy lifestyles.



Sliced bread

USA	Canada	Mexico	Latin America	EAA
#1	#2	#1	#1	#1[4]



Buns and rolls

USA	Canada	Mexico	Latin America	EAA
#1	#1	#1	#1	#1[5]



Bagels

USA	Canada	Mexico	Latin America	EAA
#1	#1	•	—	#1[7]



English Muffins

USA	Canada	Mexico	Latin America	EAA
#1	#1	•	—	—



Cookies

USA	Canada	Mexico	Latin America	EAA
•	•	#2	•	—



Cakes

USA	Canada	Mexico	Latin America	EAA
#2	#1	#1	#1 (1)	#2



Pastries

USA	Canada	Mexico	Latin America	EAA
#2	•	#1	#2 (2)	#1 (6)



Tortillas

USA	Canada	Mexico	Latin America	EAA
•	#1	#1	#1	•



Salty Snacks

USA	Canada	Mexico	Latin America	EAA
•	•	#2	•	•



Confectionery

USA	Canada	Mexico	Latin America	EAA
•	—	#1	•	—

— Not applicable
• GB market share not within top 2
#1 or #2 GB Market share position
(1) Excludes Ecuador and Peru, where GB is #2. (2) Excludes Peru, where GB is #1. (3) Market share position for the countries where GB participates in each category. (4) Excludes China and India. (5) Excludes U.K., Portugal (GB #2) and India. (6) Excludes China, Morocco and U.K. (7) Only in the U.K.
Source: Nielsen, IRI and Company Information

Letter from the Chairman & CEO

(GRI: 102-14, 102-15, 102-32, 200: 103-1, 103-2, 103-3)

Dear shareholders:

2017 was **a transition year** in terms of reinvestment and restructuring to create long-term value and drive profitability.

The year was marked by several challenging circumstances, including a difficult global economic and political environment and the severe natural disasters we experienced in some of our geographies. Internally, we also faced the restructuring of our Frozen business, as well as operational issues in our U.K. and Chinese markets.

However, **this year's milestones** make me feel very proud of Grupo Bimbo. Here is a snapshot:

- We captured strategic opportunities to enter ten new countries, through the acquisitions of: Ready Roti in India, a dynamic and growing market; Adghal Group in Morocco; and most recently East Balt Bakeries, now Bimbo QSR, which gives us a leading position within the high-growth QSR business, enabling us to serve customers and quick-service restaurants in a new way.

- We also completed two small but strategic acquisitions in the markets where we currently operate: Stonemill in Canada and Bays English Muffins in the United States.

- In addition to this, we set a record for the number of customers served on a frequent and regular basis through our DSD system, with more than three million points of sale reached globally.

- We have always believed in investing for a brighter future; 2017 was no exception, we worked on a deep industrial **transformation**, having successfully integrated 32 plants into our manufacturing footprint and closed ten, resulting in the creation of a lean and efficient foundation for our supply chain.

- On the road to our 2020 Vision, we created the Global Transformation Office to accelerate our ten strategic initiatives. In the meanwhile, we launched our business accelerator, ELEVA, which offers funding, mentoring and potential commercial alliances to promising startups. This new venture multiplies our possibilities for success in the search for innovation in products and processes.

- Having said so, all these initiatives where aimed at **driving profitability** for the long run. Among our more than US$680 million investment in CAPEX, we started up a LEED Gold certified plant in Bogota and another one in Tepeji del Río, Mexico.

- We invested US $70 million in the integration of Donuts Iberia in Europe, which has been a complex process but is already yielding positive results. Similarly, the investments in migrating to a new enterprise technology brought more visibility, improved analytics, and a leap forward for our planning, execution and reporting capabilities.

- During the year, the deployment of zero base budgeting generated approximately $160 million dollars in savings.

- Given the current situation in Venezuela, we changed our accounting method for this operation's financial results to a Fair Value basis, while continuing to serve this market the best we can.

- We accessed capital, supporting our strategy to drive the expansion of Grupo Bimbo's industry leadership, while enhancing our financial profile by increasing the average tenor of our debt to 11.4 years and maintaining health and flexibility in our balance sheet.

- These would not have happened without **taking care of our people, our communities and our environment.** For example, our Safety Incident Rate improved by 15%, with a reduction of 400 accidents.

- As part of our **sustainability** strategy we created a department to focus our efforts on renewable energies. In addition, even with our acquisition-driven growth in the year, we managed to maintain stable environmental performance across our plants.

- We continue to remain strongly committed to the ten principles of the UN Global Compact, as well as to the 17 UN Sustainable development goals.

Although the economic and political outlook for 2018 is uncertain, I am excited for the path ahead, and feel confident about our future growth in the marketplace, and our prospects for increased profitability and financial health.

I anticipate a strong year towards our Vision of *transforming the baking industry and expanding our global leadership to better serve more consumers.*

DANIEL SERVITJE
Chairman and CEO





(GRI: 102-16)

Nourishing a Better World

OUR CULTURE IS SUPPORTED BY OUR MISSION, VISION, PURPOSE AND BELIEFS. WE ARE MOTIVATED TO BE AN ETHICAL, INNOVATIVE AND PRODUCTIVE COMPANY.



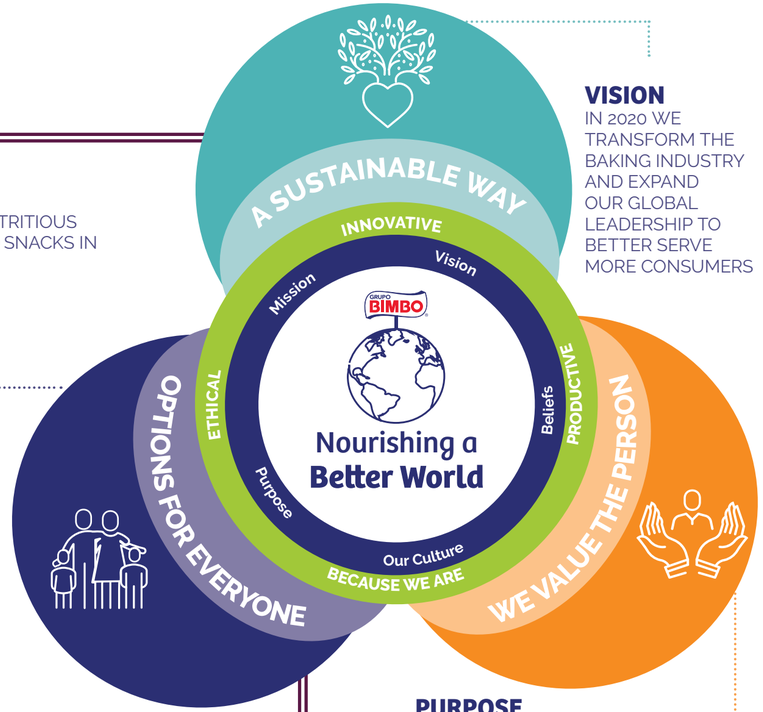
Thomas' Bagels
Is one of the Top 100 brands in the U.S.

GRUPO BIMBO
NOURISHING A BETTER WORLD

MISSION
DELICIOUS AND NUTRITIOUS BAKED GOODS AND SNACKS IN THE HANDS OF ALL

"Digitizing processes, with agile methodologies, highly engaged and talented teams, to build a sustainable, highly productive and deeply humane company"

Raúl Obregón Servitje,
Chief Transformation Officer



VISION
IN 2020 WE TRANSFORM THE BAKING INDUSTRY AND EXPAND OUR GLOBAL LEADERSHIP TO BETTER SERVE MORE CONSUMERS

PURPOSE
BUILDING A SUSTAINABLE, HIGHLY PRODUCTIVE AND DEEPLY HUMANE COMPANY

We Walk a Sustainable Way

(GRI 102-16, 102-31, 412-1)

We generate economic development, wellbeing for the communities and care for the environment.

With Options for Everyone

Our products are made with superior quality that nourishes and delights. We promote healthy lifestyles.

We Value the Person

We recognize the dignity of the person. We value their talent, experience, knowledge and virtues.

We care for our environment and act in consequence

We work on innovations that prove a sustainable mindset

We value the person and respect human rights

We work to create and promote sustainable communities

As part of our strategy, we have adopted the Sustainable Development Goals to help eradicate poverty, protect the planet and ensure prosperity for all.

About this Report

(GRI 102-10, 102-46, 102-48, 102-49, 102-50, 102-51, 102-52, 102-54, 102-56)

This is our seventh Integrated Annual Report, which contains global results of our economic, social and environmental activities for the period between January 1 and December 31, 2017, unless otherwise indicated.

Through a materiality analysis we have identified the material aspects that impact the economy, environment and society which results are presented in the report.

Using qualitative and quantitative information, this document covers the annual activities of the following regions: Mexico, the United States & Canada, Latin America, Asia and Iberia, unless indicated in each standard. It does not include India, Morocco and QSR operations as these were only recently acquired.

On the other hand, Moldex Mexico, Tenjo 2 Colombia and Cordoba and Frozen Argentina, as well as the Organization of Donuts Iberia (8 Plants), are included as of this year in our report.

It is important to mention that we have not considered for this report the data of the following plants since they stopped working during 2017. Also, those plants that closed in 2017, but will remain in operation:

BBU
- Sunbury, PA
- Owensboro, KY
- Sioux Falls, SD
- Lubbock, TX

South America
- Bimbo Agua de Piedra
- Bimbo Argentina - Martínez

CANADA
- Plant - St. Come Linieres, QC

MATERIALS
- Information covers the 12-month period ended October 2017
- Renewable materials include corrugated carton, folding carton and paper
- We are only considering packaging for renewable materials
- "Plastic Polyethylene (PE) resin for trays" excludes renewable materials
- Information gathering process

For the first time as Grupo Bimbo we reported emissions of Nox, Sox, COVs, PM10 and PM2.5 from manufacturing processes, as well as waste generation and recycling from Bimbo China.

Regarding corporate governance, during 2017 we reported changes in our Executive Committee, due to the fact that in the month of August, Mr. Guillermo Jorge Quiróz Abed, who was our CFO, retired from the company and his position was occupied by Mr. Diego Gaxiola Cuevas. Likewise, Mr. Raúl Obregón Servitje occupied the position of Chief Transformation Officer in the month of March, and Mr. Rafael Pamias Romero joined the company as Senior VP in the month of November.

"This report has been prepared in accordance with the GRI Standards: Core option", and the Food Processing Sector Supplement. In addition, we have added the information that must be included in the Mexican Stock Exchange Sustainable IPC Index, and it does not contain an external verification.

Our contribution to the 10 principles of the UN Global Compact, as well as to the 17 Sustainable Development Goals is indicated throughout the report as well as restatements of any information.

For further information on our materiality analysis, stakeholder engagement, risk management, governance and policies, please refer to the GRI Index in page. 107 which contains the respective links to our website. For information on our sustainability strategy and management, visit: **https://grupobimbo.com/en/sustaintability/sustainability-strategy**



Building a Sustainable, Highly Productive and Deeply Humane Company

(GRI 203: 103-1, 103-2, 103-3, 301-307: 103-1, 103-2, 103-3, FP5, FP8)

SUSTAINABLE

All our operations comply with our sustainable way which is our sustainability strategy with four pillars: Wellbeing, Planet, Community and Associates.

Through our Planet Pillar, our actions are aimed to reduce the impacts in the environment and to take care of resources for future generations.

We are focused on reducing our carbon and water footprint, waste management, improving our supply chain and protecting biodiversity. It is based in complying with the laws and regulations of the countries where we operate, promoting compliance with procedures and good practices, monitoring, evaluating and improving environmental indicators and impacts as well as the development of innovative technologies to improve processes.

HIGHLY PRODUCTIVE

"In Grupo Bimbo we are convinced that the food industry must actively take part in joint actions, to positively impact the health of current and future generations".

Through our Wellbeing Pillar, we must continue working on our commitments aligned with the World Health Organization strategies and recommendations: create and innovate a wide range of nutritious and good tasting products with an improved nutritional quality, offering accessible, transparent and understandable labelling information to our consumers with a strict compliance with local and global regulations, responsible advertising focused on marketing to children, promote healthy lifestyles for our associates and consumers and strengthen our alliances with strategic players.

Our global Quality Policy, defines our commitment to food safety to assure our foods are always safe.



DEEPLY HUMANE

412: 103-1, 103-2

Through our Associates Pillar, we take care of the wellness and safety of our associates, as well as their personal and professional development. As a global company, diversity and inclusion are top priorities.

Our people are and have always been the most important. From our origin and throughout the history of Grupo Bimbo, the person is the center of our purpose where Human Rights are implicit.

We promote a culture of sustainability, among our associates, which strengthens the reputation of our company with the whole community in the countries in which we operate.

Through our Community Pillar, we approach communities and become part of them, to work as a sustainable company. Each of the communities in which we have undertaken operations, has specific challenges that require attention and support. Through actions oriented to education, community development and health, we work in partnership with Non-Governmental Organizations (NGOs) to face the challenges of the communities in which we have presence.

https://www.grupobimbo.com/sites/default/files/FGB-EIR-01-Grupo-Bimbo-Global-Sustainability-Policy.pdf

With Options for Everyone

Our commitment is to offer products that satisfy our consumer needs, providing clear information on the nutritional profiles while promoting health and wellness initiatives that encourage healthy lifestyles.



OUR STRATEGIC PRIORITIES

- Product innovation and nutritional quality improvement
- Healthy lifestyles & Healthy eating habits promotion and physical activity
- Product labeling
- Responsible marketing practices aimed to children
- Alliances and research



Artesano
Artisanal style bread with only 89 calories per slice

(GRI 416: 103-1, 103-2, 103-3, FP4, FP5, FP8)

1. PRODUCT INNOVATION AND NUTRITIONAL QUALITY IMPROVEMENT

One of the most significant lines of action within our Health and Wellness strategy, remains that of improving the nutritional profiles of our product portfolio, through deep consumer understanding, innovative technologies, processes and ingredients, focusing in different geographic and demographic zones.
We achieve this along four lines of action:

- Step up launches of **products with better nutritional profiles** aligned to the new eating trends and dietary patterns
- Increase use of **positive nutrients and ingredients**
- Developing products that help cover **nutritonal defficiencies**: facing the issue of undernourishment
- **Portion control**

In order to understand the offer of our products based on their nutritional quality, we developed an internal nutrimental profiling system that evaluates nutritional characteristics, assigns a final score and classifies each product in one of four categories:

1. **BEST:** Represents the highest nutritional quality standard within the products categorization, due to their balance and content
2. **BETTER:** Products with good nutritional quality that are part of Grupo Bimbo's portfolio
3. **GOOD:** Products that may be consumed in alternate consumption due to their nutritional features
4. **FUN:** Products with the lowest score within the products portfolio, which are focused on a specific moment for consumption in our diets

Innovated **148**
"Best and Better"
products **in 2017**
460 reformulated products



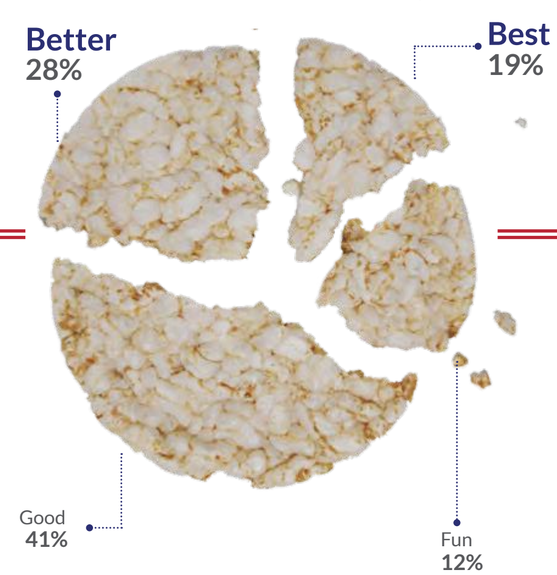
(GRI 416-1, 416-2)

Innovation & Reformulation

Nutrient profile distribution of product portfolio Grupo Bimbo 2016



Nutrient profile distribution of product portfolio Grupo Bimbo 2017

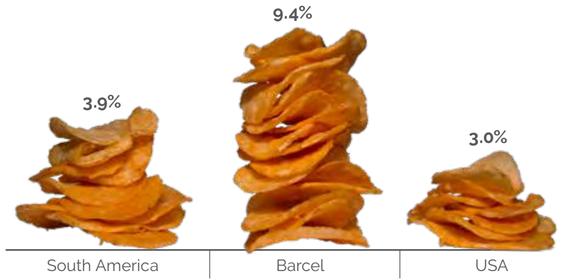


10 percentage points increase for Best + Better categories 2016 vs. 2017



(GRI: 416: 103-1, 103-2, 103-3, 416-1, 416-2, FP5, FP6)

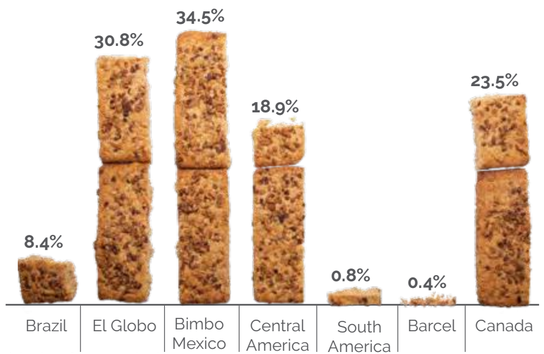
Sodium reduced products 2017 sales*



*vs. comercial sales of the organization

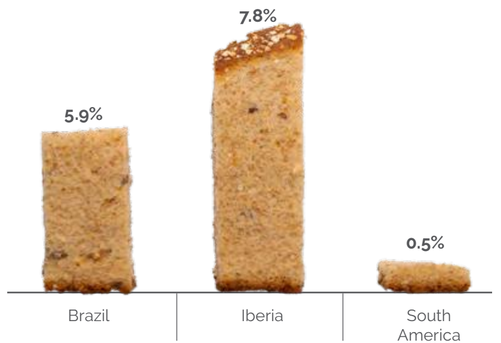
135 plants with Global Food Safety Initiative standards 10% more than in 2016

Saturated Fats reduced products 2017 sales *



*vs. comercial sales of the organization

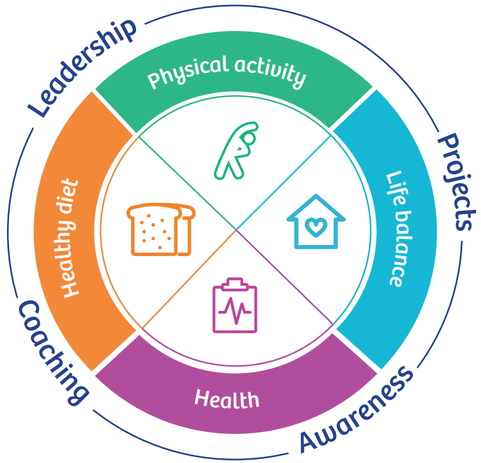
Sugar reduced products 2017 sales*



*vs. comercial sales of the organization

2. Promoting Healthy Lifestyles, Healthy Eating Habits And Physical Activity

Grupo Bimbo is committed to providing a work environment in which our associates' health and safety are protected, and to promoting healthy lifestyles conducive to full human development and a more efficient operation.



Using 4 pillars and 4 lines of action, we seek to strengthen a continuous training process for our associates, so they can manage healthier lifestyles in which everyone can make the best choices and decisions to benefit their safety and wellness. This Model is designed to be the backbone of our wellness initiatives, which are aligned with our Foundations for Safety and Wellness, "We are capable of building a balanced life".

As of May 2017, we have a Functional Wellness Policy directed at Organization's leaders to promote implementation of the action plans defined in each pillar.

We also have two indicators to measure the results of our program:

1. **Commitment Survey:** Evaluates how our associates rate the Wellness Program, in their country.

2. **Internal Wellness Certification:** Classifies the progress achieved by the internal Wellness program of each Organization, in relation to the Safety and Wellness Model.



Every injury can be avoided



We must work safely



We are responsible for each other's wellness



As a world class company, we must offer exemplary health and safety performance and constantly improve wellness



We are capable of building a balanced lifestyle

We are capable of building a balanced lifestyle;
Working safely and caring for our wellness
"contributes to building a sustainable, highly productive and deeply humane company".

We have materials, with which to promote among our associates the right diet and the adoption of healthy lifestyles. These materials include a Guide to Healthy Eating, a Family Cookbook, menus, recommendations for the entire family, a calorie counter program, infographs on various health and nutrition issues, as well as workshops and talks by healthcare professionals. We also provide health and diet information at our **www.nutriciongrupobimbo.com** website.

Our company was recognized in 2017 by the Workplace Wellness Council - Mexico as a health responsible company.

As part of our commitment to the World Health Organization (WHO), we focus our efforts on three fronts:

1. **Brand positioning:** participant in 7 health and nutrition congresses and expos in 2017 as well as our program of medical visits.

2. **Wellness associates:** Health and Wellness Strategy, nutrition consultations, Grupo Bimbo's healthy company cafeterias.

Bimbo Mexico

10 of 15 are certified
7 of 12 are recertified

Barcel

2 of 7 are certified
2 are recertified

3. **Education and Communication:** web page, social networks, radio, magazines, newspapers and TV, alliances with civil associations such as the Mexican Diabetes Federation (FMD) and the Celiac Support Association of Mexico (ACELMEX).

Promotion of Physical Activity

All our work places have activation departments and programs on exercise and other forms of physical activity programs. These programs include ones on Active and Healthy Corporate Challenge, Scale Your Peak Challenge, Live Healthy #EsPorMi, and sports tournaments, among others.

Global Energy Race

Bimbo's Global Energy Race is part of our commitment to work continuously in actions that encourage the adoption of healthy lifestyles such as the promotion of correct diets and physical activity. It is known that exercising regularly provides multiple benefits to people.

Our Global Energy Race is also an event with cause: for each kilometer a participant runs, Grupo Bimbo donates two slices of bread to food banks. In 2017, thanks to each of the participants, more than one million 200 thousand slices donated to those who need it most.

During 2017, we expanded global participation:
- 26% over 2016 levels, and surpassed our goal by 122%
- 25% of all our runners were associates, their family members or friends

Associate participation	2016	2017	↑ Goal
Mexico	9,597	12,672	↑ 32%
Global	20,405	25,676	↑ 26%

(GRI 102-31)

Country	City	Bread slices donated
USA	Long Beach	38,580
	Philadelphia	20,850
	Dallas	15,380
	Orlando	16,260
	Phoenix	12,870
Mexico	Mexico City	244,792
	Guadalajara	52,190
	Monterrey	40,902
	Puebla	41,524
	Veracruz	32,988
	Merida	23,654
Panama	Panama	16,460
Costa Rica	San Jose	21,986
Honduras	San Pedro Sula	10,212
Nicaragua	Managua	10,044
El Salvador	San Salvador	21,820
Ecuador	Guayaquil	34,632
Guatemala	Guatemala	26,812
Colombia	Bogota	73,368
	Cartagena	34,186
	Cali	27,650
Argentina	Buenos Aires	42,540
Chile	Santiago	42,354
Paraguay	Asuncion	22,500
Peru	Lima	33,048
Uruguay	Montevideo	44,134
Brasil	Porto Alegre	20,400
	Sao Paulo	66,640
	Rio de Janeiro	63,920
Portugal	Lisboa	25,000
Spain	Barcelona	32,522
	Canarias	
	Madrid	48,540
China	Beijing	60,000
UK	Sheffield	11,762
Canada	Toronto	10,764
	Vancouver	3,084
	Quebec City	4,450
TOTAL	**Bread Slices**	**1,348,818**

21 countries

37 cities

+103,645 runners

***Futbolito Bimbo* tournaments:**
Futbolito Bimbo is our girls and boy's soccer tournament organized since 1959. In 2017 it celebrated its 54th edition in Mexico.

Mexico

Presence in the **32** states of the Mexican Republic

45 locations throughout the National Territory

2,707 schools

4,423 teams

134,976 hrs of physical activity

1,449 girls' teams / 2,974 boys' teams

32,530 boys and **15,653** girls Mexico

USA

210 teams
+3,200 girls and boys

Chile

80 teams
+800 boys and girls



(GRI: 417: 103-1, 103-2, 103-3, 102-12, 417-1, 417-2)

3. Labeling

Nutritional information, plays an important role in disseminating essential information on the nutritional value and composition of our products. We are committed to stepping up our efforts, to provide consumers easily accessible, transparent and understandable information, they can use to make informed decisions when purchasing and consuming our products.

One of the most important action lines aligned to these objectives is to include in all our packages a simple front of packaged (FOP) label, in addition to our basic nutritional information:

Grupo Bimbo FOP labeling characteristics:

1. List of key nutrients to highlight: energy (calories), saturated fats, total sugars and sodium.
2. Located on the frontal panel to facilitate its reading.
3. Nutrient content with a reference to the percentages of daily requirements in the general population's diet.
4. Clear, relevant, readable and understandable format.
5. Science-based, verifiable and objective information, applicable to all food and non-alcoholic beverages categories without exception.

99% of portfolio with nutritional information

100% of portfolio include ingredient lists

100% regulations compliance

99% compliance in FOP labeling*

*New acquisitions are not included

4. Responsible Marketing Aimed to Children

Our advertising campaigns are truthful and promote the strengthening of ethical values. For that reason, our TV ads reflect a positive focus on morality as well as toward ethnic, religious and political differences.

In fulfillment of commitments we have established with the International Food and Beverage Alliance (IFBA) and our internal Pledge, we have agreed that advertising directed at children under 12, will use only common nutritional criteria based on accepted dietary guidelines, and that we will abstain from advertising to those under 12 with any types of marketing covered under the agreement.

(GRI 419: 103-1, 103-2, 417-2, 417-3, 419-1, FP8)

5. Alliances and Research

We have developed alliances with the authorities, the academic community, research institutes, NGOs and society, that allow us to develop comprehensive programs to achieve a positive impact on consumers wellness.

1. ***Centro Internacional de Mejoramiento de Maíz y Trigo* (CIMMYT)**
   Collaboration agreement, with the objective of stimulating sustainable agriculture practices, that guarantee food security of the growing population in Mexico and Latin America.
2. **International Food and Beverage Alliance (IFBA)**
   Companies´commitment letter, with Mexicans Health, to endorse their support to the National Strategy for the Prevention and Control of Overweight and Obesity.
3. **The Consumer Goods Forum (CGF)**
   Memorandum of Understanding with the PAHO Foundation in favor of health and well-being in Latin America. Health & Well-being pilot program, aimed at consumers, to acquire healthier lifestyles, through nutritional education and the promotion of an active life, implemented in 8 stores in the city of Bogota, Colombia, with an impact on 12,389 consumers.
4. ***Centro de Experimentación y Seguridad Vial México* (CESVI)** (Experimental and Mexican Road Safety Center) ISO 39001 in Road Safety.
5. ***Alianza Latinoamericana de Asociaciones de la Industria de Alimentos y Bebidas* (ALAIAB)** (Latin American. Associations Alliance for the Food and Beverage Industry)
6. **Access to Nutrition Index (ATNI).**
7. ELEVA Food Technology Accelerator

During 2017, Bimbo Ventures, our unit dedicated to finding and promoting high potential projects at Grupo Bimbo, in association with BlueBox Ventures, Latin America's largest accelerator and venture capital firm, specializing in incubation and startup investments, successfully completed the 1st cycle of ELEVA Food Technology Accelerator.

Increased importance was given, to working closely with start-ups in the search for innovative solutions that may offer options to improve product nutritional profiles or may offer final products with the best nutritional profile, to impact our global portfolio.



Sanissimo Quinoa Rice Cracker
Is the #1 seller of our rice cake portfolio

"In GB innovation is and will be a priority, **an unlimited source of competitive advantage"**

Rafael Pamias, Executive VP

We Care for the Environment

(GRI 301-307: 103-1, 103-2, 103-3)

We develop sustainable actions that can reduce our environmental impacts and take care of our resources and the planet for future generations.

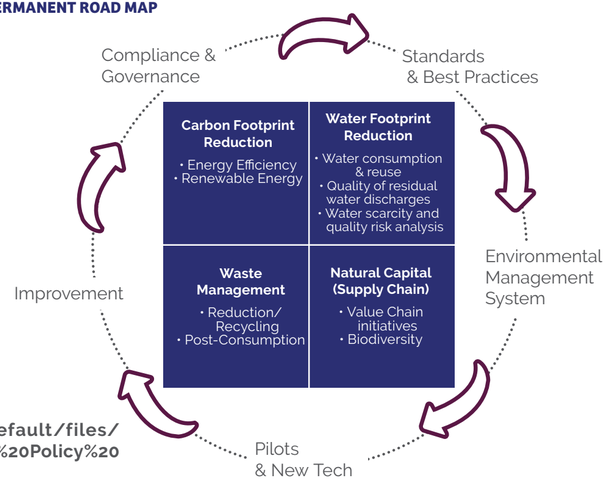
At Grupo Bimbo we are committed to applying good environmental practices in all value chain of each of our products. We have adopted a comprehensive, long-term commitment to assure the efficient use of our resources and seek new technologies in relation to our carbon and water footprint, waste management , use of renewable resources and improving all aspects of our value chain; as our strategy defines.

(GRI 102-46)
We have defined material environmental issues, based on assessments of aspects and impacts, including verification of our operations' performance, legal compliance, management of environmental indicators and specific requirements made by stakeholders parties.

Mission: Live environmental management and make it a competitive advantage for the company

Vision: For our environmental performance to lead to our recognition by 2020 as an agent of change

PERMANENT ROAD MAP



https://www.grupobimbo.com/sites/default/files/FGB-EOP-01%20Global%20Environmental%20Policy%20%28External%29.pdf



Grupo Bimbo Corporate Headquarters, Mexico

Our history

1991
Energy savings and rational use of resources Policy

First clean-transport "Clean Industry" certification
2001

2002
Environmental Management System

"Committed to the Environment" program
2007

2012
"Sembrando Juntos" sustainability strategy

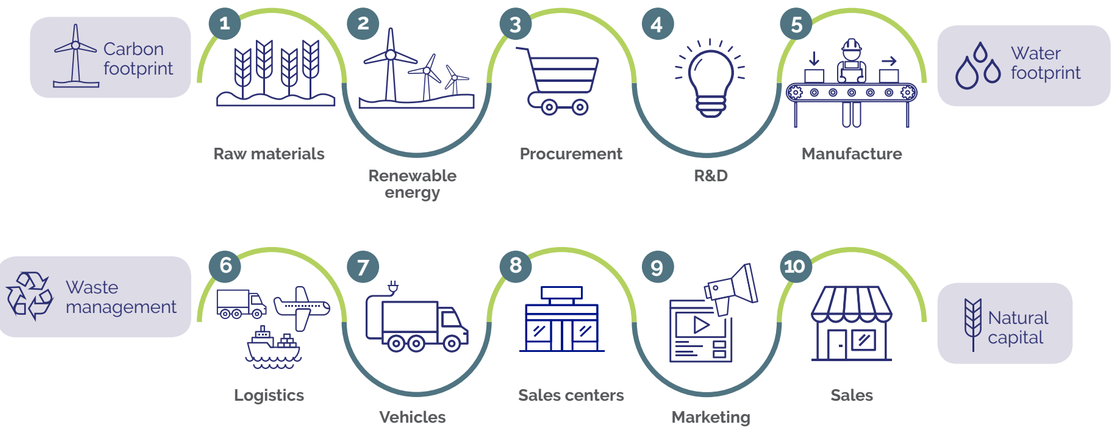
2017
Sustainability in our strategic objectives

Our **Sustainable Way**

Sustainability value chain

(GRI 102-9)

From our strategy we are aware of our value chain's environmental impacts. This year we conducted a plan for each of the global functional areas in our value chain, that projected clear actions for lowering the company's environmental risks over the coming years to reach the goals, as well as for gauging our impacts along the entire chain.



Carbon Footprint (Climate change)

(GRI 302: 103-1, 103-2, 103-3)



We have set the goal of mitigating climate change, improving and consolidating technologies related to renewable energy, energy efficiency, and energy and fuel resource reduction, transitioning toward an energy system based on renewable technologies, to achieve a reduction of 10% to 2020 in our carbon footprint, and 80% electricity from renewable sources.

Renewable Energy

(GRI 201-2)

Through "Piedra Larga" wind farm, we continue to supply wind power to 52 of our plants, 131 sales centers, 57 El Globo stores, and 2 distribution centers, as well as our corporate headquarters building. The damage the wind farm suffered in relation to the September, 2017 earthquake in Oaxaca, led to a 34% reduction in our clean energy production from 826,973 GJ in 2016 to 545,802 GJ in 2017. We expect to compensate for that loss during the current year, and will continue to advance toward our 2020 target, of providing clean energy to most of our sites in all Grupo Bimbo.

The Metropolitan Distribution Center will be the largest solar energy system in Mexico rooftops and the second largest in Latin America, with 2.2 MW power installed. In total, *"Bimbo Solar"*, will avoid 2,500 tons of CO_2e emissions annually, equivalent to reducing oil use by 3,115 barrels or planting 120,000 trees.

In its first stage ***"Bimbo Solar"* will consolidate 33 systems that together will have an installed capacity of 3.7 MW** on 24 sales centers, 7 El Globo Stores, the Corporate building in Mexico City and the Metropolitan Distribution Center, which is currently in construction.



Piedra Larga wind farm Oaxaca, Mexico

Manufacture

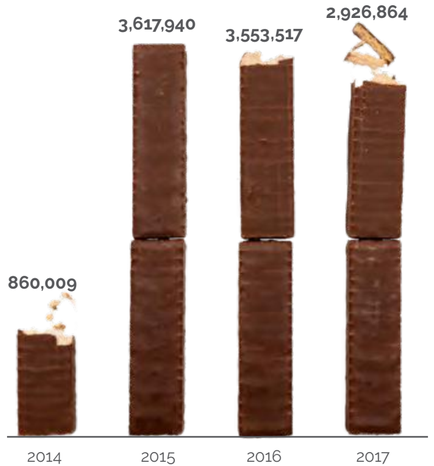
(GRI 302-1, 302-2)

We continue to work globally to develop new technologies and initiatives that allow us to lower our CO_2e emissions and achieve efficiencies in our operations' energy consumption.

Our main energy indicators are detailed in the following tables.

TOTAL ENERGY OUTSIDE THE ORGANIZATION (3RD PARTY)

Total Fuel Consumption from non-renewable sources





ENERGY STAR PARTNER

BBU was recently named a 2018 Energy Star Partner (EPA) of the Year. On Friday, April 20, 2018 in Washington, DC. BBU was the first company in the food sector ever to be awarded.

All of BBUs bakeries participate with EPA Energy Star.

- 14 have received the EPA Energy Star Certification
- 7 have received the EPA Energy Star Challenge

For more information about Grupo Bimbo Certifications **https://grupobimbo.com/en/grupo-bimbo-awards**

INDIRECT ELECTRICITY CONSUMPTION

Grupo Bimbo in GJ	2012	2013	2014	2015	2016	2017
Total indirect consumption of energy from suppliers.	3,072,959	2,473,933	2,243,755	3,099,895	2,910,352	3,310,551
Wind energy	136,186	758,392	787,786	799,490	826,973	596,496
Total	3,209,145	3,232,325	3,031,541	3,899,385	3,737,325	3,907,047

TOTAL ENERGY WITHIN THE ORGANIZATION

Grupo Bimbo in GJ	2012	2013	2014	2015	2016	2017
Total Fuel Consumption from non-renewable sources	20,413,615	17,346,175	14,650,377	16,136,786	16,406,769	16,517,848
Electricity Consumption	3,209,145	3,232,325	3,031,541	3,899,385	3,737,325	3,907,047
Total Energy Consumption	23,622,759	20,578,499	17,681,919	20,036,171	20,144,094	20,424,895

Total Energy Consumption 1% decrease

23,351,759 GJ /2017 vs. 23,697,611 GJ/2016

3% decrease of the company's total energy consumption, from non renewable fuels (LPG gas, CNG, diesel, gasoline) vs. 2016 equivalent to 515,574 GJ

Energy consumed by 784,740

100 watts bulbs in a year (lit 5 hrs per day)

Global initiatives to reduce energy consumption

(GRI 302-3, 302-4, 302-5)

The most replicated initiative to reduce energy consumption was the implementation of more than 95% of LED lamps in Mexico, Colombia, Argentina, Canada, BBU and China, together with the installation of high efficiency motors and equipment update.

RENEWABLE ENERGY

CO_2e

9% reduction of CO_2e from use of LPG in our manufacturing processes

3,459 ton CO_2e vs. 2016



Energy Intensity Ratio

(GRI 302-3)



*Scope 1,2 &3 (2015 and 2016 vehicles included, 2017 vehicles and donuts included)

(GRI 302-1, 302-2)

ENERGY CONSUMPTION

Grupo Bimbo in GJ	2012	2013	2014	2015	2016	2017
Natural gas in plants	8,038,092	8,124,529	7,344,243	8,217,035	8,483,167	8,862,003
LP gas in plants	453,960	464,720	499,672	590,921	619,084	609,854
Diesel in plants	24,867	13,827	61,357	60,851	114,698	58,413
Other fuels in plants (fuel oil)	92,567	120,108	113,036	118,370	140,971	123,565
GJ Sub-total in Plants	8,609,486	8,723,184	8,018,308	8,987,177	9,357,919	9,653,835
Natural gas in vehicles	-	123	2,805	21,204	73,569	32,084
LP gas in vehicles	44,759	25,693	23,022	28,445	18,021	46,917
Diesel in vehicles	9,650,926	6,461,793	4,548,479	4,680,394	4,405,656	4,222,307
Gasoline in vehicles	2,108,443	2,135,382	2,057,527	2,419,516	2,551,603	2,562,705
Other fuels in vehicles (ethanol)	-	-	236	51	-	-
GJ Sub-total in Vehicles	11,804,129	8,622,990	6,632,069	7,149,609	7,048,850	6,864,012
Natural gas in 3rd party vehicles				111,140	126,351	110
Diesel in 3rd party vehicles	-	-	860,009	3,506,800	3,426,909	2,926,321
LP gas 3rd party vehicles					241	389
Gasoline 3rd party vehicles					16	45
GJ Sub-total in 3P Vehicles	-	-	860,009	3,617,940	3,553,517	2,926,864
Total direct consumption of energy from non-renewable primary sources (purchased)	20,413,615	17,346,175	15,510,386	19,754,726	19,960,286	19,444,712

* Data for years between 2014 and 2017 include only 10 months; data for the plants was updated in the February 2018 report.

1% reduction of CO_2e direct emission per product ton (efficiency) manufactured vs. 2016, due mainly to the results obtained in primary distribution, equivalent to 7,095 ton CO_2e

The CO_2e absorption capacity of 1,419 Encino trees

49% reduction of Diesel consumption in manufacturing processes vs. 2016
3 consecutive years of reductions

The CO_2e absorption capacity of 843 Oak trees vs. 2016

Logistics & Sales Centers

(GRI 305-3, 305-5)

We implemented a series of initiatives during 2017, that help us to improve fuel efficiency and reduce CO_2e emissions from transport vehicles. The most significant are listed below:

1. **Trailer redesign**
   In Mexico, replaced 35 ft. trailers with a 20-pallet capacity (40 pallets in a double trailer configuration), with a 42 ft. trailer with 24 pallets (48 pallets in a double trailer configuration). These modifications allowed us to transport 17% more pallets per trip.
2. **We had 82 intermodal rail hauls** in 2017, between Mexico City and Mexicali, achieving 82 railway trips.
3. **For the first time,** in Grupo Bimbo Mexico, we have a distribution center with a LEED GOLD (Leadership in Energy & Environmental design) certification that together with the one in Tenjo Colombia, are a recognition to the company's environmental commitment.

On a global level, during 2017, **several energy practices were employed that allowed us to sustain preexisting levels of factory environmental performance,** even as we operated 20 more factories than in 2016.



Vehicles

We continue working on developing innovations and looking for new technology that can improve our fleet performance in order to decrease our CO_2e emissions.

Mexico

- Clean Transportation Program: we obtained environmental ministry certification for a seventh consecutive year.
- Self-regulation Program: We have units certified under a voluntary covenant with the governments of Mexico City and the State of Mexico to voluntarily lower CO_2e emissions.
- We have 130 vehicles with particle filters, technology with which emissions to the environment are significantly reduced, with greater fuel efficiency.
- Use of alternative fuels and renewable energy in Mexico. We have 350 electric distribution vehicles that were designed and manufactured by Moldex, a subsidiary of Grupo Bimbo. Also, in the US operations, we have 191 LPG route vehicles, 79 CNG route Vehicles and 59 CNG tractors.
- Moldex: Calculations and testing were conducted to optimize the yield of the 17 Guadalajara trucks, leading to the redesign of battery banks and chargers for better performance. We also achieved delivery of prototypes one and two for Mexico City and much progress was made to assure delivery of units three and four by February 2018.
- Tire renewal: The retreading of tires, reduces carbon dioxide emissions and extends tire life. This approach also avoids the toxic waste entailed in worn-tire disposal.
- Acquisition of equipment with Euro 3 (4%), Euro 4 (15%) and Euro 5 (5%) technology expanding to 13 the number of specialized units for yard management logistics and bringing the vehicular fleet in Mexico to 35 units while increasing to 23% those with Euro 5 technology. This new technology lowers contaminants thanks to the new units' use of urea in the combustion process.



350 electric vehicles in circulation + 80 new for 2018

185 natural gas vehicles (CNG)

Colombia

- Bimbo Colombia, consolidated as the first Colombian company to acquire 3 Euro 4 technology transport vehicles, with selective catalytic reduction, and the entire fleet in Spain rates Euro 5.
- Lower in CO_2e emissions and greater fuel savings through a reduction in idling time as well as by raising awareness among drivers.

USA

- Bimbo Bakeries USA was chosen as the company with the best fleet in the first edition of Fleet Owner 500 Award in recognition of our commitment to alternative fuels, particularly propane, having acquired 84 such vehicles just this past year.

China

- We are developing an electric vehicle with a battery that only requires 10 hours to completely recharge, and an operating range of 120 km in summer and 80 km in winter. In addition to the use of sustainable technology, the vehicle achieves its greatest savings on the level of fuel and maintenance. We currently have 231 tricycles that are covering routes totaling 2,187,780 km.

(GRI 305-1, 305-2, 305-3, 305-5, 305-6)

CO_2e EMISSIONS (TON)

Grupo Bimbo	2012	2013	2014	2015	2016	2017
CO_2e total direct emissions (scope 1)	1,353,721	1,103,823	909,995	996,822	1,007,591	1,014,167
CO_2e total indirect emissions (scope 2)	424,327	300,472	268,290	294,956	292,632	338,112
CO_2e total third party vehicle emissions (scope 3)	-	-	62,040	259,282	254,353	216,973
TOTAL CO_2e EMISSIONS FOR GB	1,778,048	1,404,295	1,240,325	1,551,060	1,554,575	1,569,252

*We improved with policies and programs the data for outsourcing



4,222,306 GJ diesel consumption from primary transport / -4% vs. 2016 / -31% in the last 7 years

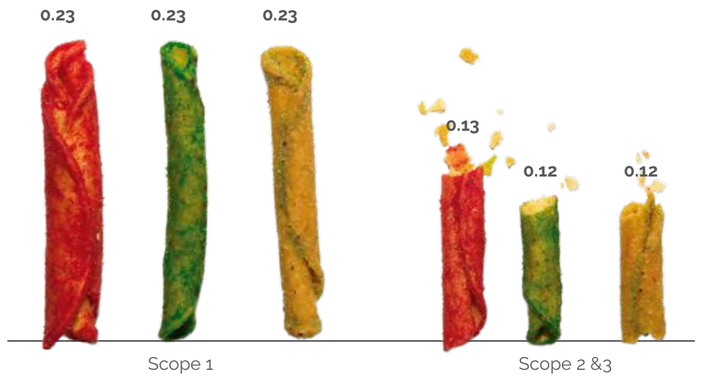
Avoid **144,107 Ton** CO_2e vs. 2010

CO_2e EMISSIONS (TON)



(GRI 305-4)

CO_2e EINTENSITY RATIO





*Scope 1,2 & 3 (2015 and 2016 vehicles included, 2017 vehicles and donuts included.

(GRI 305-7)

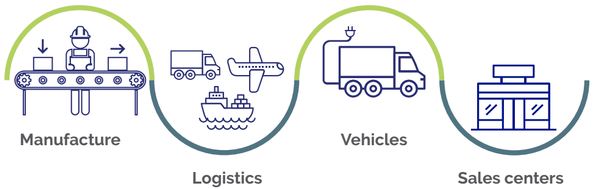
OTHER SIGNIFICANT ATMOSPHERIC EMISSIONS

Grupo Bimbo	2016*	2017**
Nox (kg)	129,441	378,746
Sox (kg)	777	3,582
PM10 (kg)	-	41,426
PM2.5 (kg)	-	41,313
OVs (kg)	-	22,313

*Nox and Sox 2016 only USA
** All Grupo Bimbo except Donuts, Morocco, India and BQS

Water footprint

In Grupo Bimbo we promote technologies to reduce water consumption in our cleaning and manufacturing processes. We guarantee water treatment and reuse of water and we seek to reduce our consumption by increasing 10% efficiency by 2020.



Manufacture & Vehicles

(GRI 306: 103-1, 103-2, 103-3)

Throughout the company, we promote technologies for reducing water consumption in our manufacturing and cleaning processes and seek to improve wastewater quality for reuse.

(GRI 102-30, 102-31)

To identify how many of our plants are in areas that could eventually experience water stress and prepare the company to deal with future water related scenarios, during 2017 we conducted water risk mapping, using aqueduct's global water risk mapping tool developed by the World Resources Institute. The next step will be to devise a plan for critical installations involving new technologies.

Main initiatives:

- Elimination of 100% cooling towers in Mexico and Central America operations. More than 24 rain water collection systems installation, to provide water for vehicle washing. (10 in Costa Rica, 9 in Guatemala, 3 in Honduras, 1 in El Salvador and 1 in Mexico) Reduction in sanitary services consumption in our operations: reusing treated wastewater in toilets and y water-free urinals.
- Reuse of treated water for services and irrigation in Argentina, Central America and Mexico.



New Tech in water treatment systems. Villahermosa, Mexico

(GRI 303-1, 303-2, 303-3)

WATER CONSUMED m³

Global	2012	2013	2014	2015	2016	2017
Surface and Ground water	1,548,221	1,334,810	1,272,597	1,191,666	1,187,965	1,128,159
Rainwater collected	-	3,965	-	-	-	1,535
Municipal water supplies or water utilities	3,264,032	3,160,999	2,873,455	3,497,057	3,473,158	3,756,510
Total	4,812,253	4,499,773	4,146,052	4,688,723	4,661,123	4,886,204

18% reduction on water consumption per ton in manufacturing processes, since 2009.

(GRI 303-1, 303-2, 303-3)

In the last years, we have upgraded all water treatment technology, and replicated best practices to reduce consumption in all our plants.

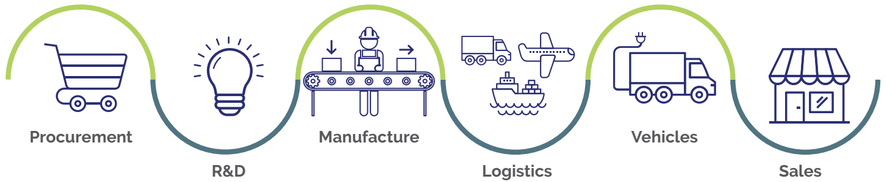
Global m³	2012	2013	2014	2015	2016	2017
Total volume of water treated and reused	416,003	1,523,300	431,222	420,744	452,646	537.779
% of water treated and reused from the total volume consumed	**9%**	**34%**	**10%**	**9%**	**10%**	**11%**

19% increase in waste water treatment from plants, compared to 2016, reaching a 25% cumulative increase of 106,557 m³ in the last 3 years.

43 Olympic pools
10,656 water tank trucks

Waste management (Global)

(GRI 301: 103-1, 103-2, 103-3, 306: 103-1, 103-2, 103-3, 306-4)



We improved our products performance, reducing waste and developing better packaging, allowing these to be valued. We also promoted reduction and recycling actions throughout our value chain, to achieve at least 90% recycling in our operations, post-consumption programs in the different organizations in partnerships with other companies, as well as 30% food waste reduction in the company.

Our global waste management strategy, consists of stratifying the waste and working on its reduction within the value chain. All our waste is treated locally.

(GRI 301-2, 306-2)

Waste, tons	2014	2015	2016	2017
Recyclables	230,818	254,689	272,078	271,861
Non-recyclables	12,715	14,260	15,696	21,414
Special handling	10,049	8,935	8,206	9,289
Hazardous waste	978	1,258	896	486
Total waste disposal	254,560	279,142	296,876	303,050
Total Waste sent to beneficial uses	240,867.00	263,624.00	280,283.70	281,150.00
Percentage of Total Waste recycled/reused	94.62%	94.44%	94.41%	91.99%

*Bimbo Asia does not report waste as they have yet to be trained in this regard. Canada only reports production waste.
For the first time we are reporting waste for Bimbo Asia and in the case of Bimbo Canada we are only considering Food Waste. Th e data excludes Donuts, Morocco, India and BQS recycling programs.



30 Plants
with 0 waste to landfill

PROCUREMENT
(GRI 301-1, 301-3)

Total packaging acquired in 2017
207,272 Ton

Renewable materials used in 2017
131,823 Ton

Non-renewable materials used in 2017
75,449 Ton

Percentage of renewable materials in 2017
63.60%

Material	Metric Ton 2017
Corrugated carton	86,920
Folding carton	44,446
Plastic PE resin	39,855
Plastic PP resin (Transparent)	18,174
Metallic Polypropylene	9,963
Aluminum (foil)	478
OPS	3,909
PET	2,626
Plastic PP resin (Printed)	108
Twist-Tie	64
Specialty Paper - Wax	126
Paper	457
Cornstarch bio plastic tray	145

Plastic PE resin for trays is not considered

(GRI 301-1, 301-2, 301-3)
In Grupo Bimbo, we improve the use of packaging technologies looking for recyclability, reduction and circular economy.

207,272 Ton total packaging purchased

92% Total Waste inmanufacturing processes is reused/recycled

46% reduction in hazardous waste from factory maintenance compared to 2016

21 more 20 Ton **Torton trucks** vs. 2016

PERCENTAGE OF PACKAGING USED THAT IS RECYCLED INPUT MATERIALS

Material	Metric Ton 2017
Corrugated carton	15,201
PET trays min 50% from recycled waste	826
Paper recycled in corrugated cases	38,052
Recycled HIPS	66
Folding Carton	39,325
Recycled Materials (Tons)*	**93,471**
Share of recycled materials	45.10%

*Plastic PE resin for trays is not considered

93,471 ton of recycled materials
45.1% of all packaging obtained by Grupo Bimbo



R&D
GLOBAL INNOVATION (GRI 301: 103-1, 103-2, 103-3)

Packaging optimization projects are regarded as a priority at Grupo Bimbo and form part of our Packaging Management Strategy. The strategy's general objective, is to find technological solutions that can be implemented at all Grupo Bimbo organizations. For that reason, we promote research of technologies, that help us to lower the environmental impact of the waste we generate.

We also conducted a study on the post consumption recyclability of packaging, that demonstrated it is possible to recycle printed and metalized plastic films and wrap, and containing an Oxo degradable additive, as well as the ability to reintegrate them into our processes in the form of trays, distribution truck racks, trash bags or cans, speed bumps, road signs, etc., thereby generating an example of a circular economy.

On the level packaging reduction, in Mexico we validated the use of a polyethylene formula, that improves the mechanical properties of bags, allowing for 12% caliber optimization in the case of White Breads and 17% on Whole Wheat Breads. Moreover, each organization's local technical teams, developed package optimization projects: Bimbo Bakeries managed to lower caliber 15% on Sara Lee bread bags and 8% on Arnold Brownberry and Oroweat Wide Breads. The implementation is scheduled for 2018.

Barcel Mexico harmonized the structure used for packaging snacks and reduced the use of 31 ton of plastic for the year.

2.3 million kg global reduction in the use of plastic since 2010 with new technologies to reduce the thickness of our packaging

Bimbo Iberia replaced the double packaging system for Thins by eliminating the outer polyethylene bag and now uses only polypropylene packaging that was traditionally reserved for the unprinted inner bag; that change led to a savings of at least 40% of the packaging material used for this product.

Bimbo Frozen improved its bag formula for fermented bread by increasing its mechanical properties using lineal polyethylene to reduce by 5% the packaging losses and waste released into the environment.

For its part, Chile developed the packaging optimization project that made it possible to reduce plastic usage by close to 230 ton.

https://grupobimbo.com/en/packaging-optimization





Logistics

Waste reduction initiatives:

Mexico

- Implementation of a logistics harness that allows for product packaging.
- Monitor battery use in lifting equipment (forklifts and hydraulic lifts).

Post consumption

In 2017 we collaborated for the first time with ECOCE in Mexico in-waste collection, at various Futbolito Bimbo events and four Global Energy race sites. We also conducted pilot tests of wrap per collection at some supermarket chains through the ECOCE mobile collection program for collecting flexible polyethylene (bags) that can be exchanged for basic and recycled products through eco-points (kg).

The company participates in different countries post consumption recycling programs, such as Mexico, Brazil, Spain, England and Canada.

Natural Capital (Supply chain)

(GRI 102-9, 102-10, 308: 103-1,103-2,103-3)



We developed plans for every global functional area that forms part of our value chain, including clear environmental risk reduction actions for the coming years, as well as improved assessment of our impacts throughout the chain. We currently have information on the factories, primary and secondary distribution.

SUPPLY CHAIN

Sustainable agriculture

As part of our commitment to work towards a sustainable path, and based on the Global Agriculture Policy, in 2017 we signed a collaboration agreement with the International Maize and Wheat Improvement Center (CIMMYT), to promote sustainable agricultural practices for the growing populations of Mexico and Latin America, which entails:

- Implementation of a model of integrated trade and responsible corn and wheat procurement in Mexico.
- Promoting sustainable agricultural practices to enhance farmer productivity to strengthen the entire value chain.
- Raising the incomes of small-scale producers in the most vulnerable regions through more competitive and profitable conditions.
- Caring for the environment

The pilot projects we will conduct, will be with our strategic allies: Cargil for corn in the Bajio region as well as the states of Mexico and Hidalgo, and Bunge for wheat in the states of Sinaloa and Sonora, Mexico.
https://www.grupobimbo.com/sites/default/files/FGB-EPR-02%20%20Grupo%20Bimbo%20Supplier%20Code%20of%20Conduct.pdf

Global palm oil policy

In 2017, in partnership with The Forest Trust (TFT), we engaged with direct suppliers representing 95% of the company's palm oil and palm kernel volume. (In 2016, engagement was focused on 90% of volume.) This has included communicating the person at Grupo Bimbo responsible for sourcing commitment, collecting mill level traceability data (95% traceability achieved for top suppliers), and tracking policy implementation with first tier suppliers. For suppliers for whom baseline policy implementation data was collected in 2016, we have been able to identify progress & gaps and follow-up directly with them to agree upon concrete opportunities and specific milestones for stronger policy implementation. We have also supported on-the-ground engagement with palm oil producers in our supply chain in Central and South America, where most of our palm oil volume originates.
https://www.grupobimbo.com/sites/default/files/FGB-EPR-02-Global-Palm-Oil-Policy.pdf

Animal wellness in egg production

We have created the Global Egg Policy to be socialized with our main vendors and to be able to define minimum requirements for ensuring our vendors worldwide abide by global animal welfare standards.

Signatory of the Cerrado Manifesto in Brazil

Grupo Bimbo became a signatory of the Cerrado Manifesto initiative to halt deforestation in Brazil's Cerrado Tropical Savannah.

The Cerrado region of Brazil extends over 2 million km². As part of our commitment to sustainability and the environment, we in Grupo Bimbo have joined those signing the Statement of Support for the Objectives of the Cerrado Manifesto, a call for halting the deforestation of this region. This initiative promotes a more resilient agriculture and land use, planning practices with which to protect this ecosystem.

Mexico success story

(GRI 304-2, 304-3)

To be an agent of change in Mexican agriculture, supporting the development of farmers who grow the products we are interested in, to assure supply, lower imports, generate productivity, and become more sustainable. Our main initiatives are:

Water
In keeping with the *Instituto Nacional de Investigaciones Forestales, Agrícolas y Pecuarias* (INIFAP) planting protocol, watering is reduced to 4 times (0-45-75-100 days).
Water reduction of 807,600 m3/ha (2 million l = 2,000 m3 ha)
(Calculated for seed where watering is reduced (4/5), we confirmed that in the Bajio region, only the irrigations called for in the protocol were applied.)

Agriculture
The CIMMYT methodology for wheat and corn will be applied, and we have a tool for measuring the amounts to be applied. This is carried out for agricultural conservation purposes.

Within the 5-5.5 ton/ha average, according to the CIMMYT methodology for responsible management. The strategy is directed at reducing tillage and irrigation costs.

Silvopasture system for goats
With this project, we increased the goat milk production and continued the use of corn silage as a fertilizer to reduce deforestation.

(GRI 304: 103-1, 103-2, 103-3, 304-3)

Reforestamos México
In 2017, along with *Reforestamos México, A.C.,* we joined forces with 61 companies, investing resources and more than 13,800 volunteers, to reforest 196.45 hectares of woodland area and support the conservation of 947.26 hectares of forest ecosystems in Mexico.

According to information provided by *Reforestamos México A.C.*, reforestation actions in Bosque de la Primavera in Jalisco, the Parque Nacional Cumbres of Monterrey, Nuevo Leon, and the Nevado de Toluca in the State of Mexico, have an estimated 76.00% survival index as of 2017. However, to have updated information for 2018, an external agent is conducting field assessments in each area where trees were planted.

Each of the reforestation efforts are supported during the first three years with a series of maintenance activities that greatly increase survival rates and generate related social benefits in the form of temporary jobs for people from the supported communities.



LOCATION OF REHABILITATED HABITAT

Nevado de Toluca in the State of Mexico Flora and Fauna Protection Area **Hectares restored109.25** **Hectares maintained 297.26**	**La Primavera** in the State of Jalisco Flora and Fauna Protection Area **Hectares restored 55.50** **Hectares maintained 650**	**Tzitzio** in the State of Michoacan Ecological Restoration Area **Hectares restored 1.00**
Sierra de Manantlan in the State of Colima Ecological Restoration Area **Hectares restored 1.00**	**Parque Educativo** in the State of Veracruz Ecological Restoration Area **Hectares restored 1.00**	**Cuenca de la Soledad, Pinal del Zamorano, Temascatio and Parque Bicentenario** in the State of Guanajuato Ecological Restoration Area **Hectares restored 7.00**
Ciénega de González, El Pajonal, Huasteca, Laguna de Sánchez and San Juan Bautista in the State of Monterrey National Park Protected Area **Hectares restored 6.50**	**Bicentenario, Rafaela Padilla and Teleferico** in the State of Puebla Recreational Park Protected Area **Hectares restored 3.50**	**Sierra de Tepotzotlan** in the State of Mexico State Park Protected Area **Hectares restored 4.70**
Joya la Barreta and El Cimatario in the State of Queretaro Recreational Park Protected Area **Hectares restored 6.75**	**Kai Lu'um** in the State of Yucatan Recreational Park Protected Area **Hectares restored 0.25**	Total Hectares restored **196.45** Total Hectares preserved **947.26** Total Volunteers **13,807**

Among our 2017 success stories, we should mention the "Sustainable Livestock Experience Exchange" organized May 11 and 12 by *Reforestamos México*, at which livestock ranchers from neighboring El Zapotal Private Reserve in Tizimin municipality, Yucatan, Mexico, shared their sustainable livestock good practice experiences with 18 ranchers from five localities in Quintana Roo and Campeche states, and where cattle farming is the main cause of deforestation, due to the need for great extensions of pasture land (0.6 cattle/ha).

For that reason, it has been shown that Silvopastoral Systems (SSPi), offer a very good alternative, as they offer the best environmental services and greatest productivity. They also avoid the release of CO_2e deposits in the ground and conserve the site's biodiversity.

A result of that meeting, the participants decided to set SSPi implementation and sustainable livestock good practice commitments for their land.

Young Forest Entrepreneur

Young Forest Entrepreneur is an initiative of *Reforestamos México A.C.*, with the support of Grupo Bimbo, CONAFOR, INADEM and BBVA Bancomer, which promotes the talent and business vision of young people in Latin America, through which we seek to increase their skills to develop initiatives in the forestry sector, that promote sustainable resources management and provide ecological solutions to deforestation.

In the 2017 edition, we gathered more than 1,300 forestry students, and received 112 proposals, with the participation of 60 Mexican and Latin American universities. The winner on this occasion was the Thara Project of a young entrepreneur from the Agrarian University of La Molina, in Lima, Peru.

We will continue with this program in 2018, with the main objective of disseminating the event and invite key audiences to participate in the next edition, since we are convinced that we must trust on the development of change agents that can impact the communities as well as improve our planet for future generations.

PROCUREMENT

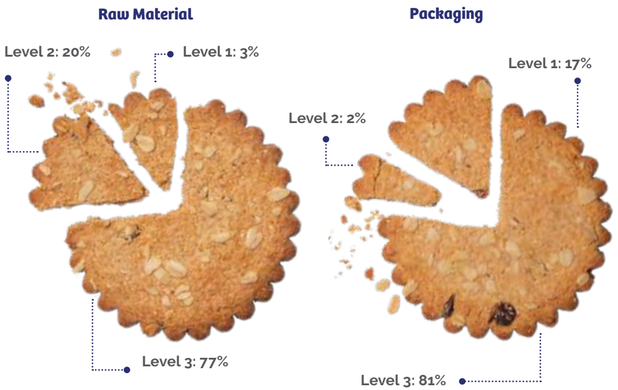
(GRI 308-1, 308-2, 414: 103-1, 103-2, 103-3, 414-1, 414-2)

In keeping with our 2020 strategy, in 2016 in Mexico we conducted a pilot test with some suppliers, and for 2017 we defined the survey to be applied to all our suppliers of Raw Materials and packaging. The purpose of the survey was to determine the state of the three sustainability pillars that we currently work with in both categories and based on that information design a joint effort strategy to impact our sustainability pillars.

(GRI 308-2)

Step one of the Green Purchasing Project is to conduct the sustainability survey, to identify each supplier's potential risks in relation to each input handled within the environmental pillar. The survey classifies three levels of compliance: 1 basic, 2 intermediate and 3, the highest levels.

OUR 2017 MAIN RESULTS:





Wheat Crop Pilot, Mexico



"Build to last, build to **transform**"

Reynaldo Reyna, Chief Services Officer

DESEO PROGRAM (GRI 412-3, FP5)

Develop external business partners (suppliers), promoting a culture of continuous improvement in operations, verifying compliance with the minimum requirements we have set for the various categories for achieving food safety, quality, environmental and occupational safety in the Small Medium Enterprises (SMEs) suppliers.

Total SMEs	Number of SMEs in program	% Progress
948	466	49%

Scope

The program is directed at micro, small and medium sized companies that are authorized Grupo Bimbo suppliers. The program covers eight categories: food, packaging, freight, maintenance services, building maintenance, vehicles, visibility and maquila.

Development

There are 5 stages to the process:

1. An initial meeting in which we report on SNE requirements.
2. Implementation process and clearing up any doubts. During this stage, the supplier must cover all the requirements asked of them by Grupo Bimbo.
3. Verification process with a company (SME) visited the suppliers' premises to verify, using a checklist approved by Grupo Bimbo, compliance with every point requested. The process includes reviewing documents and onsite inspections.
4. SNE process of delivering the action plan. In this stage, the supplier proposes the actions to mitigate or eliminate the problems detected during the verification, along with a deadline for redressing the issues and the name of the person to oversee monitoring of the process.
5. Verification at Grupo Bimbo installations. This stage only applies to the categories of overall maintenance, visibility and building maintenance.

https://www.grupobimbo.com/en/our-group/policies



We are Active Agents of Community Development

(GRI 413: 103-1, 103-2, 103-3, 413-1, 413-2, FP4)

17 PARTNERSHIPS FOR THE GOALS

We work in partnership with NGOs to face the challenges of the communities in which we have a presence, to give them back some of what we receive from them.

Alongside NGOs, non-governmental agencies, society, the private and public sectors and through voluntary donations in money and in-kind, on behalf of the company and our associates, we support initiatives focused on wellness, healthy diets, physical activity, environment, community development and education. Also, in case of natural disasters, Grupo Bimbo makes a match to economic donations from associates.

47% of our associates in Mexico contributed through voluntary donations for NGOs and natural disasters

(GRI 203: 103-1, 103-2, 103-3, 203-2)

DONATIONS PROGRAM

Along with organizations from around the world, through Grupo Bimbo's and associates donations, we support a range of actions that such organizations undertake, and which directly benefit communities and society in general.

Region	Economic Donations	Product Donations	Total Donations
Mexico	67	39	106
USA/Canada	57	548	605
Latin America	18	237	255
Total	**142**	**824**	**966**

For the year, we recorded 966 economic and product donations worth a combined $123 million pesos, and in support for more than 900 associations.

VOLUNTEERING

At Grupo Bimbo we are committed to society and the world to contribute and face the challenges in an effort to fulfill the Mission of our Volunteer program.

Our volunteering program includes both economic and in-kind donations plus free time contribution from our associates.

Through our program with our more than 22,000 volunteers we support NGOs around the world which develop initiatives to promote healthy diets, wellness, education and care of the environment.





It is important to mention that for the first time Argentina, Chile, Paraguay and Peru, simultaneously carried out volunteer activities. The associates from these countries participated by giving their time, during a weekend day, with their families, which enriched the activity.

Bimbo Argentina: We paint your school
This action was carried out within the framework of the Corporate Management Volunteer Program and the Diversity and Inclusion Program. More than 20 associates participated with their families, where six classrooms were painted, as well as the corridors of High School 14, in the town of Derqui of Pilar Partido, Argentina, which nearly 100 children attend.

Ideal Chile: A good neighbor related to our culture of Diversity and Inclusion
Together with the Good Neighbor and *Fundación Mi Parque*, 30 volunteers from Bimbo Chile, worked on the recovery project of the four playgrounds of "Arturo Perez Canto" Kindergarden, located in the Quilicura district. This institution is located in one of the most vulnerable areas of the sector, where more than 130 boys and girls attends from elementary school, medium school and high school levels of more than 6 nationalities.

Paraguay: We improve the study conditions of young people
Volunteering was carried out at the Dr. Fernando de la Mora School, where volunteers painted the classroom and planted several flowers, with the objective of improving the study conditions of the young people who attend this school.

Bimbo Peru: we planted 50 fig trees for the *Sagrada Familia Residence*
A group of Bimbo Peru associates, got together to fulfill Brother Miguel´s dream to have green areas and large trees where children could play, teaching them the importance of reforestation and environmental care, through the donation of 50 fig trees, which were planted by our volunteers together with the school children.

VOLUNTEERS IN 2017

USA & Canada	Mexico	Latin America	Asia
1,159	**18,101**	**3,335**	**120**

Total **22,715**

(GRI 419: 103-1, 103-2, 103-3, FP4)

"We seek to transcend and endure **through sustainable actions that contribute to the** development of our associates and the communities **where we live and work , committed with long term value creation"**

Raúl Argüelles Díaz González,
Chief HR and Corporate Affairs Officer. CSO

NATURAL DISASTERS

In keeping with our Natural Disaster Policy, the Global Institutional Relations Department –in the case of Mexico– oversees operating and managing fund resources; channeling all the requests for donations and/or economic support the Organizations receive and submitting them to approval by the Social Investment Committee. It must also issue a report to the Committee, every six months on all the support awarded.

Social Investment Committee
Determine the type of support to provide the community. Authorize the company's contribution, in-kind and economic, in accordance with what our associates donate.

In the case of economic disbursements, it should set the amount.

Organizations´ Human Relations Office
Send bulletins inviting associates to make voluntary donations.

Register the support given and report to the Institutional Relations Office on the donations made.

VP of the affected Organization
Must report the disaster to the company's Global Institutional Relations Department, which then brings the matter to the attention of the Social Investment Committee.

Country's Operations Office
Determine the product to be donated and execute the local coordination as part of current policy.

In 2017, due to the earthquakes that affected Mexico, our associates supported the victims with in-kind and economic donations. For each peso they gave, Grupo Bimbo donated two more pesos.

Through our associates' donations and the company's participation, the funds collected in September 2017 in Mexico were assigned to Support on Natural Disasters, for associates and communities affected by last year's earthquakes.

	Amount in MXN	Cause
Economic donations from associates **$8.3 M** Grupo Bimbo matched 2 pesos per each peso from associates **$16.6 M**	**Total Donation Bimbo and Associates $24.9M**	• Support for the reconstruction of 18 public Schools in Mexico • Support to 300 associates that were affected by the earthquake in 2017
Bimbo Canada, Marketing with cause	**$0.8M**	• Mexican Red Cross Nursing and Emergency School
Global Energy Race donation	**$1.75 M**	
194,000 product pieces donation	**$4.2 M**	• Support for earthquakes relief in Mexico
494 Trips to support community, delivering groceries to affected locations = **3,131** ton	**$5.4 M**	

Total Donation **$+37 Million pesos**



(GRI 203-1)

GOOD NEIGHBOR

The Good Neighbor program, which we have merged with our Bimbo Volunteers Program, has developed to detect existing needs in the vicinities of our plants, and in this way to implement projects that benefit our neighbors.

Since the program's launch in 2012, we have contributed 586 projects around the world, helping the communities adjacent to our work centers. These include aspects such as infrastructure improvement, the redesign and restoration of public and private spaces, and repairs, among others.

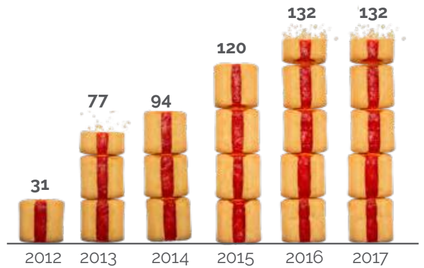
COMPLETED PROJECTS

Plant/Distribution Centers	2017 Finalized Project
Mexico	37
USA & Canada	69
Latin America	24
Asia	1
Europe	1
Grupo Bimbo Grand Total	132

Progress on Good Neighbor Program

+ 580
Good Neighbor
projects since 2012

PROGRESS ON GOOD NEIGHBOR PROGRAM



"DESIERTO DE LOS LEONES ORGULLOSAMENTE LIMPIO" PROGRAM

23 cleaning
days / 18 ton of collected waste in Mexico

Our Environmental and Social Program arose as an extension of the *Limpiemos Nuestro México*, National Campaign, created by the Fundación Azteca, and sponsored by Grupo Bimbo. Its main purpose is to raise awareness among park visitors and residents in the area about how best to manage the solid waste generated in the forest.

As part of the initial phase of the Program, we achieved the following in 2017:

1. Installation of 4 containers for solid waste, at diverse locations in the area and one for inorganic solid waste located in the former convent. Each of them, was adapted to comply with Mexico City's Norms on waste management.

   The project's enviromental leaders have conducted inspections, to assure the proper use and maintenance of the containers, and the members of the "Brigada de los Leones" (Lions Brigade) in charge of cleaning the park, have been given maintenance training and equipment.

2. During 2017, 180 volunteer brigades conformed by families from Cuajimalpa, Mexico, participated in Environmental Education and Clean-up Days.

3. We organized 27 Environmental Education Days helping 1,280 people to understand the importance of the environment preservation.

4. We conducted 22 informational tours around the park. As part of the planned activities, visitors were invited to collect waste misplaced on forestry areas and provided them with collection bags branded with the program's image. 420 families participated (between June and December).

5. We offered a workshop called "Solid Waste Management in the *Desierto de los Leones* National Park" to provide park residents waste disposal and usage tools, an initiative that had an impact on 100 individuals.

6. We generated a diagnosis and proposals on handling solid waste and presented it to the local authorities in the Cuajimalpa, Mexico to establish commitments.

7. We developed the "Zero Styrofoam in *Desierto de los Leones*" project, through which we managed to get 10 businesses near the former convent to sell biodegradable containers. **http://www.limpiemosnuestromexico.com**

Líderes del mañana (Tomorrow leaders)

Through the *Líderes del Mañana Distinction*, we support the leadership and academic talent of brilliant young people – associates relatives- as well as professional and personal development opportunities, through scholarships in conjunction with TEC of Monterrey. We also give them collaborative activities, expanding their vision on the world of business, academic skills and a commitment to become transforming agents.



Speak Up Line
At Grupo Bimbo, beliefs constitute an essential part of our philosophy which always seek to create and provide the best conditions for equal labor, a culture of safety, diversity and inclusion which applies our golden rule: Respect, Fairness, Trust and Care.

We strengthen and promote the Code of Ethics among our associates and Board of Directors, as well as the Code of Conduct among our suppliers. To follow up on its compliance we have a program of Direct Communication: "*Línea Comenta*" (Speak Up Line) which provides an opportune and trustworthy communication channel to attend any comments about non-compliance of the codes, and which allows us to follow up and solve any report. The program is available to associates and suppliers at the different operating sites of Grupo Bimbo. We are sure that this tool will allow us to work with opportunity in the areas found with need of improvement on the different processes. Speak Up Line Committees attend and quickly resolve all reports in accordance to the policy.

Plant visit program
The plant visit program allows us to get closer, listen and share entertaining and learning experiences for our visitors.

We receive children and young people of all ages, from elementary schools to university, foreign educational institutions, people with different abilities, seniors and special guests, consumers, suppliers and other stakeholders.

Our program remains highly successful. Visitors to Grupo Bimbo's plants learn not only how we make our products but we also share with them talks about different aspects of manufacturing processes, quality control and care for the environment as well as promoting healthy lifestyles, balanced meals, and the importance of being physically active.

767,738 visitors in Mexico

155,504 visitors in Latin America

Total **923,242** visitors

INCIDENTS 2017 BY TYPE (GRI 102-17, 102-33,102-34)

Labor Relations	Code of Ethics violations	Sexual harassment	Diversity and Inclusion	Safety and Wellness	Suppliers
556	**212**	**35**	**18**	**15**	**2**

Total **838** in 20 countries



Argentina

We Value the Person

(GRI 102-8, 401: 103-1, 103-2, 103-3, 406: 103-1, 103-2, 103-3)

We recognize the dignity of the person. We value the talent, experience, knowledge and opinions of our associates.

Respect, Fairness, Trust and Care is our Golden Rule

In Grupo Bimbo we are globally committed to strive every day to be the preferred place to work in the industry, assuring we have exemplary leaders who are dedicated to our beliefs, as well as associates loyal to our vision, promoting a culture of diversity, inclusion and non-discrimination, that supports Safety and Wellness, and human development.

Our Associate Pillar's mission is to contribute to our purpose of being "A Sustainable, Highly Productive and Deeply Humane Company".

Our vision is to lead with superior Safety and Organizational Health, aligning ourselves with continuous improvement.

We are the largest baking company in the world,
with more than **138,000** diverse associates from 32 countries

We understand that one of our main tasks is to provide people with productive work and contribute to their development. Each of our work centers, is responsible for hiring the people needed to implement its processes, and to that end we work to provide visibility regarding hiring conditions, requirements and job openings. Each year we compile this information to analyze the data and better understand the way our company works on the level of hiring, turnover and retention.

Mexico
Associates on payroll 76,446
Outsourcing 444
Total 76,890

USA & Canada
Associates on payroll 25,693
Outsourcing 431
Total 26,124

Latin America
Associates on payroll 21,214
Outsourcing 1,897
Total 23,111

Asia
Associates on payroll 1,332
Outsourcing 31
Total 1,363

Europe
associates on payroll 4,602
Outsourcing 413
Total 5,015

Total in Grupo Bimbo payroll
129,287 associates
Outsourcing 3,216
Total 132,503

132,503
Total Associates
in Grupo Bimbo

*Total does not include India (2368), Morocco (267), BQ (2,307), Soltex (20), Bays BBU (106), Aryzta BBU (600), which together total more than 138,000 associates.

(GRI 202-2)
PERCENTAGE OF TOP EXECUTIVES WHO HAIL FROM LOCAL COMMUNITIES

Mexico **89.7%**	USA & Canada **90.5%**	Latin America **32.0%**
Asia **50.0%**	Europe **64.3%**	Total Grupo Bimbo **80.1%**



Employment

(GRI 102-21, 202: 103-1, 103-2, 103-3, 401-1)

We contribute to the goal of being a sustainable, highly productive and deeply humane company through the balance of having the proper number of people contributing their labor from their specific job position, post, and rank, and the compensation that each one receives, which is competitive in relation to the industry average, providing internal equity. We also have two policies that manage our associates' part or full-time assignment.

It is important for our stakeholders to be aware of our turnover rates, as they convey a sense of stability and confidence, in a company in the hands of experienced and motivated associates, that are evaluated year after year.

VPs local participation has increased. 82% **local VP´s** worldwide



Regions	Active personnel (at December 2017)	Departures (2017) Total departures	Number of new hires Total new associates	Total new associates who quit the job within the year	Turnover %	Percentage of new associates vs. global total new associates
Mexico	76,444	17,187	13,681	7,271	22	63
Associates under 30	18,847	8,585	8,019	4,580	46	37
Associates between 30 & 50	49,851	7,682	5,577	2,635	15	26
Associates over 50	7,746	920	85	56	12	-
USA & Canada	25,684	2,996	2,967	756	11	14
Associates under 30	3,158	690	1,130	292	22	5
Associates between 30 & 50	10,813	1,238	1,321	344	11	6
Associates over 50	11,713	1,068	516	120	9	2
Latin America	21,211	5,707	3,369	1,298	26	15
Associates under 30	6,080	2,223	1,806	727	37	8
Associates between 30 & 50	13,505	3,117	1,494	550	23	7
Associates over 50	1,626	367	69	21	23	-
Asia	1,331	576	180	237	43	1
Associates under 30	251	198	62	103	79	-
Associates between 30 & 50	1,026	361	118	134	35	1
Associates over 50	54	17	-	-	31	-
Europe	4,602	1,714	1,607	901	37	7
Associates under 30	586	478	375	334	82	2
Associates between 30 & 50	2,504	1,011	968	487	40	4
Associates over 50	1512	225	264	80	15	1
Total Global	129,272	28,180	21,804	10,463	22	100
Associates under 30	28,922	12,174	11,392	6,036	42	52
Associates between 30 & 50	77,699	13,409	9,478	4150	17	43
Associates over 50	22,651	2,597	934	277	-	4

*Does not include India (2,368), Morocco (267), BQ (2,307), Soltex (20), Bays BBU (106), Aryzta BBU (600)
*Does not include, owing to a lack of age data: 8 Canada, 2 Barcel Mexico, 1 Moldex, 1 China, 2 South America and 1 Central America.

WOMEN AT EXECUTIVE LEVEL

2015 **14%** ▶ 2017 **24%**

(GRI 401-3)

PARENTAL AUTHORIZATION

Country	Associates who had the right to take time off work for maternity / paternity		Associates who used their right to take time off work for maternity / paternity		Total associates who returned to work after the permit		Total associates who retain their work after one year of having returned to work		Indicator of return to work		Rate of retention	
	Men	Women	Men	Women	Men	Women	Men	Women	Men	Women	Men	Women
Mexico	2,531	496	2,531	496	2,530	463	2,530	463	100%	93%	100%	100%
Central America	89	111	89	111	88	108	88	108	99%	97%	100%	100%
South America	135	90	135	89	135	89	135	89	100%	100%	100%	100%
Brazil	81	69	81	69	81	65	68	49	100%	94%	84%	75%
Asia	27	129	27	129	27	128	26	75	100%	99%	96%	59%

(GRI 408: 103-1, 103-2, 103-3, 408-1, 409: 103-1, 103-2, 103-3)

CHILD LABOR

We do not hire child labor. As part of the selection process, when a candidate is accepted, valid documentation (tax registration, birth certificate, or other official ID) must be provided, showing the person is of working age. Our Human Relations Department's hiring area, directly conducts the recruitment process and makes certain that the candidates are adults.

We conduct systematic reviews in which we check our associates' age and seniority to make sure that no one underage is employed at our work centers. And we have no job positions regarded as dangerous.

We are working with our suppliers to assure they respect the labor rights of associates, as well as hiring only people of legal working age.

GB UNIVERSITY

(GRI 404: 103-1, 103-2, 103-3, 410-1, 412: 103-1, 103-2, 103-3)

TRAINING AND DEVELOPMENT

Training is of fundamental importance to Grupo Bimbo, and we constantly seek to share information campaigns that motivate our associates to take courses offered by our "GB University". Those in charge of the development committee for each organization, oversee and monitor the annual training and development plan.

Each year the Organizations deliver a training and development plan that specifies the total number of sessions, and each month they review how well the plan is being implemented.

The annual goal is to have 10 hours or more of training per associate, in each organization. A record is kept for each organization of the number of hours spent online and, in the classroom, information that is used to better assess the progress achieved each year. It is also important for all the associates to take Human Rights courses, and we have prepared Institutional courses that deal with this subject.

TOTAL HOURS OF TRAINING

(GRI 102-7, 404-1)

Associates category	GBTALENT				WORKING STRUCTURE					
	Total training hours		Average hours of training per associate		Associates			% Associates		
	Female	Male	Female	Male	Female	Male	Total	Female	Male	Total
Hourly & Staff	189,315	812,108	10	9	19,275	93,533	112,808	17%	83%	100%
Supervisors	72,907	291,017	34	28	2,159	10,269	12,428	17%	83%	100%
Managers, Directors, VPs & Presidents	17,887	52,409	18	17	977	3,074	4,051	24%	76%	100%
World Total by Level	280,109	1,155,534	13	11	22,411	106,876	129,287	17%	83%	100%

Population data excludes outsourcing

12 hours of training per woman/ 10 per man

(GRI 412-2)

TOTAL HOURS OF ASSOCIATE HUMAN RIGHTS TRAINING

CUSUPE
Total associates 129,287
3,111 associates trained = 2.41%

Diversity and inclusion
Total associates 129,287
3,796 associates trained= 2.94%

Respect in the workplace
Total associates 129,287
220 associates trained = 0.17%



(GRI 404-2, 201-3)

During the year, we implemented 24 associates skill building courses and programs for helping with the transition. These include the Onboarding Program all our associates are given when they join the company, as well as other courses directed at leadership positions, Development Managers, hourly personnel, managers and directors.

We have also conducted 2 assistance transition programs, developed to facilitate continuity in managing career terminations resulting from retirement or outplacement, directed at associates over 60 in Mexico. The immediate supervisor along with local Human Relations area, is responsible for directing associates toward Grupo Bimbo transition programs.

(GRI 404-3)

With our associates' full knowledge, at least once a year, we conduct a performance assessment based on criteria known to the associate and that person's supervisor. This review can include an evaluation by the immediate supervisor, peers or a broader range of associates, and may also involve human relations area.

These evaluations are useful not only for associates development, but also contribute to human relations management and development within the Organization.

TALENT EVALUATION (GRI 404-2, 404-3)

	GBTALENT				WORKING STRUCTURE					
Associates category	**Associates who received a regular performance and career development review during the reporting period"**		**% of associates who received a regular performance and career development review during the reporting period"**		**Associates**			**% Associates**		
	Female	**Male**	**Female**	**Male**	**Female**	**Male**	**Total**	**Female**	**Male**	**Total**
Hourly & Staff	12,145	63,648	65%	68%	18,650	92,989	111,639	17%	83%	100%
Supervisors	1,939	8,806	93%	94%	2,090	9,412	11,502	18%	82%	100%
Managers, Directors, VPs & Presidents	891	3,637	91%	94%	982	3,864	4,846	20%	80%	100%
World Total by Level	14,975	76,091	69%	72%	21,722	106,265	127,987	17%	83%	100%

Population data (excludes outsourcing) calculated by the end of May 2017, when the performance evaluation period in Grupo Bimbo concludes

69% of women and **72% of men** have received a performance review

COMPENSATION (GRI 401: 103-1, 103-2, 103-3, 201-3)

Our Compensation Policy is based on a "Total Rewards" model that takes on a comprehensive approach to compensation, benefits, development and career, and working environment. This approach includes a plan for assuring that compensation is competitive against market.

Our Policy has been developed considering a better quality of life for associates as well as their wellness. For our Mexico operations, we launched a Maternity and Paternity Policy in 2017, which offers flexible arrangements, leaves of absence and part time jobs. Operations outside Mexico follow the criteria set out in their respective countries' laws. We also developed our new Global Policies for Temporary and Long-term assignees, that will benefit our associates who move to another country where we are present.

At Grupo Bimbo we are developing new and creative initiatives that can reward high-performance associates.

(GRI 401-2)

	Full time	Part time	Temporary	Regions where it applies
Stock Options, Levels: 1st senior management and directors	X			Brazil, Canada, China, Iberia, Central America, South America, Mexico, United Kingdom, USA
Assigned auto, levels: 1st and/or 2nd senior management and/or directors	X			Canada, Colombia, Guatemala, Honduras, Iberia, South America, Mexico, Nicaragua, Panama, United Kingdom, USA, Venezuela, Brazil
Maternity or paternity leave	X	X	X	Canada, Iberia, South America, United Kingdom, USA, Mexico. Offered to part-time associates in Iberia, United Kingdom, USA, Canada. Offered to temp associates in Iberia, United Kingdom.
Annual performance bonus	X	X		Brazil, Canada, China, Iberia, Central America, South America except Paraguay, Mexico, United Kingdom, USA.
Medical checkup, at least for directors	X			Mexico, United Kingdom.
Disability coverage	X	X	X	Brazil, Canada, Colombia, Iberia, Mexico, Panama, United Kingdom, USA, Uruguay. Offered to temp associates only in Iberia, United Kingdom.
Life insurance	X	X	X	Argentina, Brazil, Canada, Chile, China, Iberia, Central America, Mexico, Peru, United Kingdom, Uruguay, USA. Offered to temporary associates only in El Salvador, Honduras, Brazil, Canada.
Medical insurance	X	X	X	Offered to all levels in Argentina (except hourly level), Brazil, Chile, Ecuador, Honduras. Offered to executive level associates and higher in Canada, China, Colombia, Costa Rica, El Salvador, Guatemala, Iberia, Mexico, Nicaragua, Peru, United Kingdom, USA. Offered to supervisory levels and higher in Panama. Offered to part-time and temporary associates only in United Kingdom.

Only lists those benefits offered in more than 40% of the countries where GB operates, and to at least one level in the hierarchy.
Latin America (South: comprises Argentina, Chile, Peru, Uruguay, Paraguay. Central: comprises Colombia, Costa Rica, Ecuador, El Salvador, Guatemala, Honduras, Nicaragua, Panama, Venezuela).
Iberia comprises Spain and Portugal.

PERCENTAGE INCREASE IN ANNUAL TOTAL COMPENSATION RATIO (GRI 102-39)

Mexico
Bimbo Mexico
Ratio increase in total annual Compensation*
3.0

United States
Bimbo Bakeries USA
Ratio increase in total annual Compensation*
3.3

Canada
Bimbo Canada
Ratio increase in total annual Compensation*
1.16

Chile
South America
Ratio increase in total annual Compensation*
1.10

Colombia
Central America
Ratio increase in total annual Compensation*
1.0

Brazil
Bimbo Brazil
Ratio increase in total annual Compensation*
3.3

*Number of times that the highest paid associate saw an increase in the percentage of total annual compensation in relation to the median percentage increase in all other associates' total annual compensation.
The data corresponds to the 6 countries with the most significant operations in terms of 2017 estimated sales and number of salaried associates.
Calculation includes full time salaried associates, excluding those on part-time, specific project and those assigned to international posts, associates occupying regional posts in the countries under consideration and those associates that were not included in the annual raise because they were promoted or are new hires.
The total annual compensation considers annual income based on: base salary, guaranteed compensation, incentives, commissions, short and long-term incentives.

RATIO OF BASIC SALARY AND REMUNERATION OF WOMEN TO MEN* (GRI 405-2)

Mexico
Bimbo Mexico
Administrative **1.1**
Supervisors **1.0**
Executives and Directors **0.7**

United States
Bimbo Bakeries USA
Administrative **1.0**
Supervisors **0.9**
Executives and Directors **1.0**

Canada
Bimbo Canada
Administrative **0.8**
Supervisors **0.9**
Executives and Directors **1.0**

Chile
South America
Administrative **0.8**
Supervisors **1.0**
Executives and Directors **1.1**

Colombia
Central America
Administrative **1.1**
Supervisors **0.9**
Executives and Directors **0.7**

Brazil
Bimbo Brazil
Administrative **1.0**
Supervisors **1.1**
Executives and Directors **0.9**

* Ratio of women's average earnings compared to the annual compensation of men, by job level.
The data corresponds to the 6 countries with the most significant operations in terms of 2017 estimated sales and number of non-operating associates.
Calculation includes full time non-operating associates, excluding those on part-time, specific project and those assigned to international posts, associates occupying regional posts in the countries under consideration.
The total annual compensation considers annual income based on: base salary, guaranteed compensation, incentives, commissions, short and long-term incentives.

WAGES (GRI 102-35, 102-36, 102-37)

We pay above minimum wage in all countries where we are present and make sure the employment and hiring conditions, cover, the minimum required by labor law.

In addition, the compensation of each associate is determined considering performance evaluations, which recognize the achievement or outstanding performance against their established goals and the skills ,as well as, the financial results of our company in each country and globally.

Every associate's compensation package, corresponds to the person's job position and what is paid for a similar position in the market in question with the responsibilities and the required experience, education and skills profile.

The wage information used in these comparisons and the respective wage level data are provided by third party consultancies recognized worldwide in labor matters.

RATIOS OF STANDARD ENTRY LEVEL WAGE COMPARED TO LOCAL MINIMUM WAGE (GRI 202-1)

		USD DATA REPORTED IN 2018				LOCAL CURRENCY ORIGINAL DATA	
			DEFINITIVE			REPORTED BY ASSOCIATE	
		COUNTRY MINIMUM WAGE	GB MINIMUM WAGE	RATIO	EXCHANGE RATE AT JAN 11,2018	COUNTRY MINIMUM WAGE *	GB MINIMUM WAGE **
Mexico	Bimbo	137.65	420.84	3.06	19.26	2,650.80	8,104.31
	Barcel	137.65	324.58	2.36	19.26	2,650.80	6,250.56
	El Globo	137.65	233.3	1.69	19.26	2,650.80	4,492.80
	Corporate	137.65	779.63	5.66	19.26	2,650.80	15,013.73
	Moldex	137.65	248.46	1.81	19.26	2,650.80	4,784.70
United States		1,160.00	2,254.31	1.94	1	1,160.00	2,254.31
Canada Bread ***		1,634.11	1,997.36	1.22	1.25	2,039.43	2,492.78
Central America		353.05	376.76	1.07	-	-	-
South America		414.21	732.34	1.77	-	-	-
Brazil		293.46	587.56	2.00	3.24	951.15	1,904.38
Asia		365.87	425.69	1.16	6.4	2,342.04	2,725.00
United Kingdom		1,648.46	1,679.23	1.02	0.74	1,218.94	1,241.69
Iberia		918.03	1,266.52	1.38	0.84	767.66	1,059.06
Average		575.03	871.27	2.01	-	-	

Ratio of entry level average earnings compared to the minimum local wage
Figures expressed in the monthly base wage in USD at the exchange rate as of 11/January /2018
Source of the exchange rate: https://www.oanda.com/lang/es/currency/converter/
* No gender distinctions
** Considering the country's average monthly base wage for the lowest operating position in GB
*** Reported in the minimum wage in GB's wage structure

ETHICS (GRI 102-17)

"We are a Community to which each of the Organizations belongs, **sharing the same purpose and beliefs and working with shared processes and systems.**

This allows us to pursue common projects, create shared synergies, and enjoy an environment conducive to our associates productively performing, **expressing themselves and having the freedom to assume measured risk and operate effectively. We are convinced of our need to act with integrity".**



Daniel Servitje
Chairman and Chief Executive Officer

Our Code of Ethics and our Code of Conduct serve as a guide for our behaviors. They spell out the commitments we have assumed as Grupo Bimbo associates, in dealing with the various stakeholders we serve or with whom we interact.

Our Code is subscribed every year through Grupo Bimbo's internal global associates' website.

For more information visit
www.grupobimbo.com/en/corporate-governance-code

2017 WORLD'S MOST ETHICAL COMPANIES® ™
WWW.ETHISPHERE.COM

DIVERSITY AND INCLUSION (GRI 405: 103-1, 103-2, 103-3, 405-1, 405-2)

+47,000 hours of "Leading in a Diverse and Inclusive Culture in Grupo Bimbo Seminar"

Our Diversity and Inclusion strategy is specifically focused on generating an inclusive culture in which people from different backgrounds and experiences, have the opportunity to develop and contribute in the transformation of the industry.

Each organization establishes its own action plan based on the most relevant local needs and this is replicated globally.

We provide all our associates Diversity and Inclusion training courses, we conduct open and diverse recruitment processes as well as an Executive Development Program. It is important to note that gender is not a factor used in setting the wages of our associates.

GLOBAL HIGHLIGHTS 2017

USA
- Womens' Forum continuity and roll out of the network across the country with 42 events.
- Graduation of 12 executive women in the Leadership Circles Program.

Barcel
- Launched the program of diversity of generations.

Brazil
- Launched the program "In your shoes" to generate synergies among the functional areas and to foster inclusion.

Corporate
- Graduated 16 participants from the Leadership Circles and started the 2nd generation with 3 mentors and +30 women.

Others
- A Diverse Candidate Slate Guideline was launched globally to foster diversity in the executive and above levels.
- Diversity & Inclusion Week, Month and Day are organized in Iberia, Brazil and Latin Centro.

Talking about Diversity & Inclusion in Grupo Bimbo has become the new norm. Four years ago we started contributing little by little to the global program to generate greater awareness among our associates about the meaning of living in an inclusive culture, where everyone can feel they belong and can have the same development opportunities.

Through the Belief, **"We Value the Person"** we recognize that diversity enriches us and inclusion strengthens us.

Grupo Bimbo seeks to make the most of the talent of each associate so that they can thrive and make things happen every day.

BOARD MEMBERS DIVERSITY

Between 30 and 50 years
2 Board Members / 12%

More than 50 years
15 Board Members / 88%

2 Women 12%
15 Men 88%

Total
Board Members: **17**

1 United States / 6%

1 Spanish / 6%

15 Mexican / 88%

WORKFORCE BY AGE

AGE RANGE MEXICO

	Under 30	%	30 to 50	%	Over 50	%	Total
Administrative and hourly personnel	17,596	23.0%	43,524	56.9%	6,430	8.4%	67,550
Supervisors	1,230	1.6%	5,509	7.2%	885	1.2%	7,624
Executives and Directors	72	0.1%	819	1.1%	379	0.5%	1,270
TOTAL	18,898	24.7%	49,852	65.2%	7,694	10.1%	76,444

3 associates are not in this report: MOLDEX (1) and Barcel (2) since there is an error in their age registration, the 3 belong to the Administrative level

AGE RANGE UNITED STATES AND CANADA

	Under 30	%	30 to 50	%	Over 50	%	Total
Administrative and hourly personnel	2,729	10.7%	8,780	34.4%	9,764	38.2%	21,273
Supervisors	197	0.8%	1121	4.4%	926	3.6%	2,244
Executives and Directors	53	0.2%	946	3.7%	1,042	4.1%	2,041
TOTAL	2,979	11.7%	10,847	42.4%	11,732	45.9%	25,558

Not including 134 associates for whom we lack age data or for whom the birthday was improperly recorded. Frozen (126) of whom 2 are executive, 97 operating and 27 administrative, and Bimbo Canada (8) who belong to the operating level

AGE RANGE LATIN AMERICA

	Under 30	%	30 to 50	%	Over 50	%	Total
Administrative and hourly personnel	5,821	27.4%	1,1771	55.5%	1,372	6.5%	18,964
Supervisors	268	1.3%	1,485	7.0%	170	0.8%	1,923
Executives and Directors	2	-	247	1.2%	75	0.4%	324
TOTAL	6,091	28.7%	13,503	63.7%	1,617	7.6%	21,211

3 associates are not in this report: South America- no date of birth (2)
Central America- no date of birth (1). 2 are supervisors and 1 administrative

AGE RANGE ASIA

	Under 30	%	30 to 50	%	Over 50	%	Total
Administrative and hourly personnel	229	17.2%	886	66.6%	37	2.8%	1,152
Supervisors	20	1.5%	106	8.0%	8	0.6%	134
Executives and Directors	2	0.2%	35	2.6%	8	0.6%	45
TOTAL	251	18.9%	1,027	77.2%	53	4.0%	1,331

1 administrative associate is not in this report: China (1) there is no information about him

AGE RANGE EUROPE

	Under 30	%	30 to 50	%	Over 50	%	Total
Administrative and hourly personnel	543	11.8%	2,040	44.3%	1,149	25.0%	3,732
Supervisors	22	0.5%	274	6.0%	205	4.5%	501
Executives and Directors	21	0.5%	195	4.2%	153	3.3%	369
TOTAL	586	12.7%	2,509	54.5%	1,507	32.7%	4,602

Complete report

WORKFORCE BY GENDER

Mexico
Administrative and hourly personnel
58,052 Men / 75.9%
9,501 Women / 12.4%

Supervisors
6,385 Men / 8.4%
1,239 Women / 1.6%

Executives and Directors
1,018 Men / 1.3%
252 Women / 0.3%

Total
65,455 Men / 85.6%
10,992 Women / 14.4%
76,447

USA Canada
Administrative and operating
16,735 Men / 65%
4,670 Women / 18%

Supervisors
1,947 Men / 8%
297 Women / 1%

Executives and Directors
1,530 Men / 6%
513 Women / 2%

Total
20,212 Men / 79%
5,480 Women / 21%
25,692

Latin America
Administrative and operating
15,338 Men / 72.3%
3,627 Women / 17.1%

Supervisors
1,428 Men / 6.7%
497 Women / 2.3%

Executives and Directors
261 Men / 1.2%
63 Women / 0.3%

Total
17,027 Men / 80.3%
4,187 Women / 19.7%
21,214

Europe
Administrative and operating
2,766 Men / 60%
966 Women / 21%

Supervisors
418 Men / 9%
83 Women / 2%

Executives and Directors
234 Men / 5%
135 Women / 3%

Total
3,418 Men / 74%
1,184 Women / 26%
4,602

Bimbo China
Administrative and operating
642 Men / 48%
511 Women / 38%

Supervisors
91 Men / 7%
43 Women / 3%

Executives and Directors
31 Men / 2%
14 Women / 1%

Total
764 Men / 57%
568 Women / 43%
1,332



"**The Company** must be a **positive** factor in people's lives"

BIMBO QSR

Leading foodservice supplier globally



Pablo Elizondo, Executive VP

Safety and Wellness

(GRI 403: 103-1, 103-2, 103-3, 403-1, 403-2, 403-4, 410: 103-1, 103-2, 103-3)

1.96 incident rate 15% decrease vs. 2016 / 400 fewer accidents

Our Labor Relations VP, addresses any issues with labor unions to bolster the main security objectives considered in our Safety Model.

- reverse the incident rate trend
- reach zero accidents
- consolidate day by day a safety culture

The Model includes all Grupo Bimbo associates at every level of the organization, to whom we are committed to provide a safe and healthy working environment, as well as a culture of safety and wellness among our associates, their families and the communities in which we work, based on our Global Safety Policy and Global Wellness Policy.

(GRI 102-30, 102-31)
Our Central Committee on Safety and Wellness –comprised of our organizational and personnel directors and safety leaders– work day in and day out to implement measures that allow us to correct any unsafe situation in our work centers, identifying risks and searching for best practices for avoiding accidents at work.

The Committee is provided with the results reported by the subcommittees of each of the organizations, which consist of their health and safety and maintenance teams, associates with initiatives on matters of Safety and Wellness and by labor union leaders. Furthermore, we conduct safety training and provide information capsules before every meeting of associates.

https://www.grupobimbo.com/sites/default/files/health-and-safety.pdf

*As of September, BF accidents are being reported by BBU and BC; the number of these organizations' associates does not yet include those of BF, which, therefore, continues to appear as an organization.
*Not considering new acquisitions.

Injuries
Mexico 1,586
USA & Canada 425
Latin America 311
Europe 156
Asia 6

Hours worked
Mexico 181,581,015
USA & Canada 51,723,693
Latin America 52,952,009
Europe 9,069,098
Asia 3,827,764

Fatalities
Mexico 0
USA & Canada 0
Latin America 0
Europe 0
Asia 0

Lost Days Rate
Mexico 59.27
USA & Canada 105.33
Latin America 31.91
Europe 82.52
Asia 13.74

Days of disability
Mexico 53,812
USA & Canada 27,239
Latin America 8,449
Europe 3,742
Asia 263

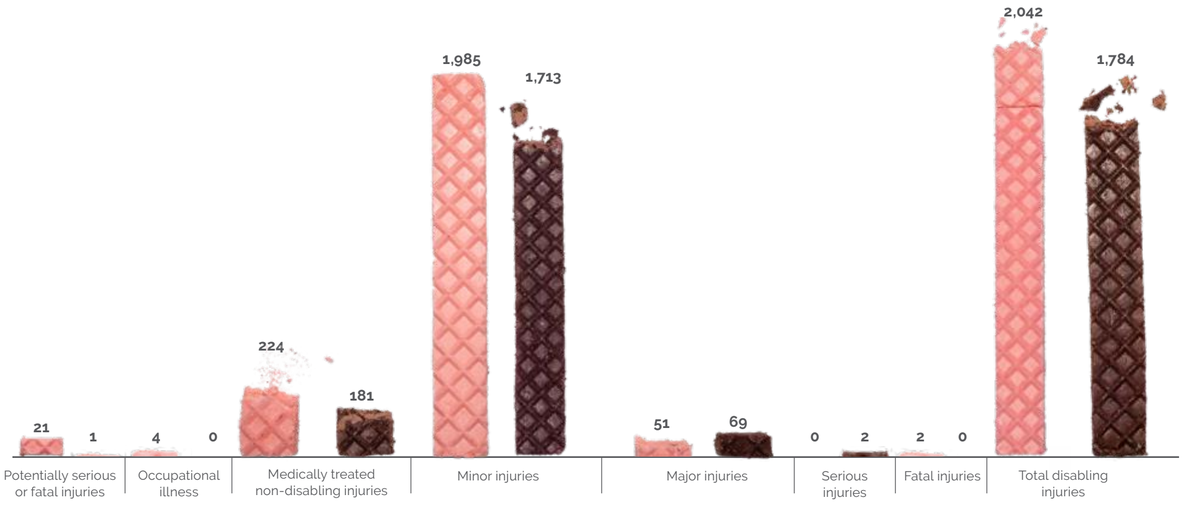
Average Headcount
Mexico 74,542
USA & Canada 26,151
Latin America 21,546
Europe 4,602
Asia 1,491

Occupational diseases
Mexico 0
USA & Canada 0
Latin America 0
Europe 0
Asia 0

Absentee Rate
Mexico 11.66
USA & Canada 8.91
Latin America 7.91
Europe 18.57
Asia 2.20

Injuries Rate
Mexico 1.75
USA & Canada 1.64
Latin America 1.17
Europe 3.44
Asia 0.31

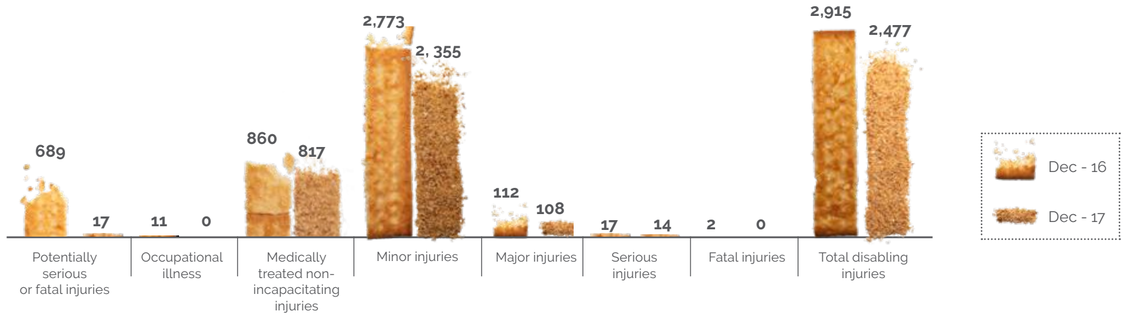
INCIDENT RATES BY BUSINESS AREA
COMMERCIAL INJURIES CLASSIFICATIONS



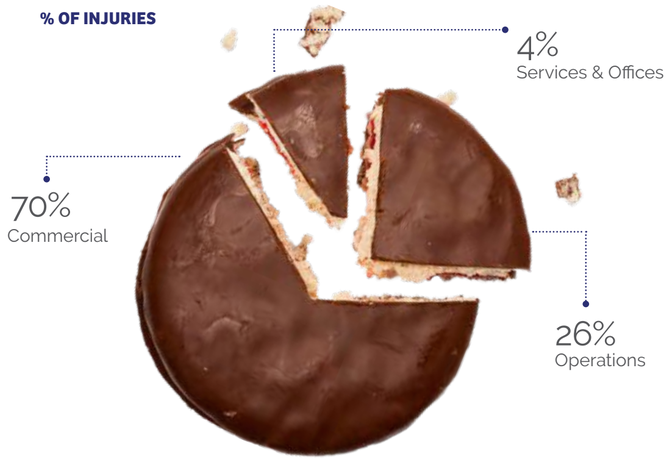
INCIDENT RATE BUSINESS AREA

Commercial	Operations	Services and offices
2.42	**1.31**	**0.74**

ALL INCAPACITATING INJURIES



% OF INJURIES



We have a detailed registry of occupational illnesses, lesser, greater **and serious injuries and fatalities that we use to develop better indicators of injuries and fatality rates per organization.** We strictly abide by the legal guidelines of the countries where we have operations.

Performance Review (GRI 201-2)

NET SALES

Consolidated net sales rose 6.1% in 2017, primarily reflecting organic growth in Mexico and acquisitions including Bimbo QSR, Ready Roti, Adghal Group and Donuts Iberia.

Mexico: 2017 net sales in Mexico rose 10.9%, driven by continued volume gains in every channel, notably the convenience and traditional, as well as price increases slightly below inflation, and a favorable price mix. The sweet baked goods, snacks and confectionery categories outperformed, supported by increased client reach, good performance of Vital and Panditas brands, as well as new product launches like Kracao chocolate, under the Ricolino brand.

North America[1]: Net sales increased 1.8% on a cumulative basis primarily due to good performance of the snacks category, strategic brands in the U.S. and the bread category in Canada, to Exchange rate benefit, and a 0.4% contribution from the integration of the US operation of Bimbo QSR. Nonetheless, continued pressure in the private label, premium and frozen categories continued to weigh on sales.

Latin America[2]: Net sales declined 1.7%, affected by the change of accounting method for the Venezuelan operation implemented on June 1, 2017. Excluding Venezuela, sales increased reflecting volume growth in the Latin South and LatAm Central divisions, notably in Argentina and Colombia; the latter benefited from the new plant that boosted sales for the buns category.

Outperformance in the traditional channel due to ongoing market penetration also contributed to growth in the period.

EAA (Europe, Asia & Africa): Sales in 2017 increased 48%, mainly driven by acquisitions completed during the last twelve months, including Bimbo QSR, Ready Roti, Adghal Group and Donuts Iberia, which contributed with 45% of the cumulative growth. However, organic performance was affected by integration-related delays in Iberia, and production difficulties in a line in the U.K. and the plant in China.

GROSS PROFIT

Cumulative consolidated gross profit increased 4.9%, while the margin contracted 60 basis points to 53.4%. This was due to higher raw material costs in Mexico arising from a stronger US dollar reflecting hedges in place, as well as the impact of the aforementioned slower sales growth in Iberia coupled with a different business mix in this region due to the incorporation of Bimbo QSR. These effects were somewhat offset by commodity favorability in North America and Latin America.

"2017 was an important year **for our transformation path, continuous** innovation initiatives, **our pursuit of the groundwork to boost our profitability going forward and maintain financial flexibility"**

Diego Gaxiola Cuevas, Chief Financial Officer

[1] North America region includes operations in the United States and Canada
[2] Latin America region includes operations in Central and South America



PROFIT BEFORE OTHER INCOME & EXPENSES

Profit before other income & expenses declined 3.9% in the year, while the margin contracted 80 basis points. This was due to a combination of the following factors:



"Takis is now present in 15 countries and became the salty snack corn category **#4"**

I. The impact of the above-mentioned costs pressure in Mexico, which was partially offset by strong volume performance and efficiencies coming from cost reduction initiatives such as zero-base budgeting;
II. Higher distribution expenses in Canada, related to soft performance in the frozen category and two labor disruptions in Canada, which have been resolved; and
III. Higher general expenses in Latin America, due to the change of accounting method in Venezuela, an operation that had previously contributed to profitability.

OPERATING INCOME

Operating income declined 3.4% from the prior year, with a 60-basis point contraction in the margin to 6.5%, due to the abovementioned operational pressures in some markets coupled with higher integration expenses arising from the Donuts Iberia acquisition, as expected, with approximately US$70 million expensed in 2017. These factors were somewhat offset by:

I. A slight non-cash benefit in North America, arising from the valuation of the multi-employer pension plans ("MEPPs") liability;





Matcha red bean filling Bread
The only matcha product of Beijing commercial breads

II. Lower restructuring expenses in North America; and
III. A reduction in non-cash charges vs. the prior year.

In 2017, a Ps. 1,054 million non-cash impairment charge was taken, which was lower compared to the prior year figure.

COMPREHENSIVE FINANCIAL RESULT

Comprehensive Financial Result totaled Ps. 5,755 million in the period, compared to Ps. 4,591 million in the last year, an increase of Ps. 1,164 million, which reflects the impact of the depreciation of the bolivar and a higher loss from the net monetary asset position in Venezuela, as compared to a gain from the net monetary asset position in the same period of last year, as well as higher indebtedness level, derived from recent acquisitions.

NEW MAJORITY INCOME

Net majority income declined 21.5%, with a 60-basis point contraction in the margin t 1.7%, attributable to operating income pressure, higher financing costs and a higher effective tax rate of 52.6%. This tax rate included the following effects:

I. A one-time non-cash charge of Ps. 706 million arising from the enactment of the Tax Cuts and Jobs Act ("Tax Reform") in the U.S.;
II. Inflationary effects on the monetary financial positions and nondeductible expenses i Mexico;
III. The effect of not recognizing deferred tax benefits in some countries; and
IV. Higher tax rates in some countries, mainly due to improved earnings in the U.S. Earnings per share totaled Ps. 1.0, compared with Ps. 1.3 in 2016.

ADJUSTED EBITDA

Adjusted EBTIDA decreased 6.9%, with a margin contraction of 140 basis points to 10.2%. The contraction of North American full year EBITDA margin is the result of a non-recurring 4Q16 inventory adjustment.

FINANCIAL STRUCTURE

Total debt at December 31, 2017 was Ps. 94.3 billion, compared to Ps. 82.5 billion at December 31, 2016. The 14.3% increase was primarily due to the acquisition of Bimbo QSR.

Average debt maturity was 11.4 years with an average cost of 5.2%. Long-term debt comprised 97% of the total; 60% of the debt was denominated in US dollars, 20% in Mexican pesos, 17% in Canadian dollars and 3% in Euros.

The total debt to adjusted EBITDA ratio was 3.5 times compared to 2.8 times at December 31, 2016. The proforma ratio, including Bimbo QSR EBITDA, stood at 3.3 times. The net debt to adjusted EBITDA ratio was 3.2 times compared to 2.6 times at December 31, 2016.

Board and Management

(GRI 102-18, 102-22, 102-23)

BOARD OF DIRECTORS

Daniel Javier Servitje Montull, Chairman
José Ignacio Mariscal Torroella
Raúl Carlos Obregón del Corral
Mauricio Jorba Servitje
María Luisa Jorda Castro*
Ricardo Guajardo Touché*
Arturo Manuel Fernández Pérez*
Luis Jorba Servitje
María Isabel Mata Torrallardona
Nicolás Mariscal Servitje
Javier de Pedro Espínola
Ignacio Peréz Lizaur*
Edmundo Miguel Vallejo Venegas*
Jorge Pedro Jaime Sendra Mata
Jaime Chico Pardo
Francisco Laresgoiti Servitje
Jaime A. El Koury*

AUDIT & CORPORATE PRACTICES COMMITTEE

Edmundo Miguel Vallejo Venegas, Chairman
Jaime Antonio El Koury
Arturo Manuel Fernández Pérez
María Luisa Jorda Castro
Ignacio Pérez Lizaur

EVALUATION & RESULTS COMMITTEE

Raúl Carlos Obregón del Corral, Chairman
Nicolás Mariscal Servitje
Luis Jorba Servitje
Edmundo Miguel Vallejo Venegas
Daniel Javier Servitje Montull

FINANCE & PLANNING COMMITTEE

José Ignacio Mariscal Torroella, Chairman
Ricardo Guajardo Touché
Luis Jorba Servitje
Raúl Carlos Obregón del Corral
Daniel Javier Servitje Montull
Javier de Pedro Espínola

For more information about our corporate governance practices, the professional career of the members of the Board of Directors and the executives, as well as a complete description of the responsabilities of each Committee of the Board of Directors, visit our website.

www.grupobimbo.com/en/corporate-governance

* Independent

Executive Management

Daniel Javier Servitje Montull
Chairman & Chief Executive Officer

Pablo Elizondo Huerta
Executive VP

Javier Augusto González Franco
Executive VP

Gabino Gómez Carbajal
Executive VP

Diego Gaxiola Cuevas
Chief Financial Officer[1]

Raúl Argüelles Díaz González
Chief HR and Corporate Affairs Officer

Raúl Obregón Servitje
Chief Transformation Officer[2]

Reynaldo Reyna Rodríguez
Chief Services Officer

Alfred Penny
President of Bimbo Bakeries USA

Miguel Ángel Espinoza Ramírez
President of Bimbo, S.A. de C.V.

Ricardo Padilla Anguiano
President of Barcel, S.A. de C.V.

Rafael Pamias Romero
Senior VP[3]



Little Bites
#1 Selling mini muffins:
- Containing no hight fructose corn syrup
- Zero grams of trans fat per serving

[1]Guillermo Jorge Quiroz Abed / Chief Financial Officer (Jan/17 - Aug/17)
Diego Gaxiola Cuevas / Chief Financial Officer (Aug/17 - Dec/17)
[2]Raúl Obregón Servitje / Chief Transformation Officer (Mar/17 - Dec/17)
[3]Rafael Pamias Romero / Senior VP (Nov/17 - Dec/17)

Audit and Corporate Practices Committee Report

(GRI 102-33)

Mexico City, March 22, 2018

To the Board of Directors of Grupo Bimbo, S.A.B. de C.V.

Dear Sirs,

In conformity with the provisions of the Securities Market Act, the corporate charter of this Company and the Regulations of the Audit and Corporate Practices Committee of Grupo Bimbo, S.A.B. de C.V. (the "Group" or the "Company"), I hereby present to you the report of the activities carried out by the Audit and Corporate Practices Committee (the "Committee") during the year ended December 31, 2017. In carrying out our work, we abided by the recommendations established in the Code of Best Corporate Practices.

Based on the previously approved work plan, the Committee met eight times during the year, in which it discussed the issues it is legally obligated to consider and carried out the activities described below:

INTERNAL CONTROLS
(102-29)
With the assistance of both Internal and External Auditors, we verified that management had established general guidelines for internal control, as well as the necessary procedures for their application and enforcement. In addition, we followed up on the remarks and observations made by the external and internal auditors in performance of their duties.

The members of Management responsible for such matters presented us with the plans of action corresponding to the observations resulting from the internal audit, so our contact with them was frequent and their responses satisfactory.

CODE OF ETHICS
(GRI 102-17)
With the support of the Internal Audit Department and other areas of the Company, we verified compliance by the associates of the Company with the Group's current Code of Ethics.

We learned of the results and central issues identified in maintaining a hotline for Group associates, and management informed us of the actions taken in those cases.

EXTERNAL AUDIT
The independent auditors that provide these services were the same as in preceding years, and a single firm is responsible for auditing the results of all the operations and countries where Grupo Bimbo has a presence, except for the recent acquisitions performed during 2017 in India and the business denominated Bimbo QSR, where they were supported by other firms, who reported the result of their audits to Deloitte for consolidation purposes within the financial statements of Grupo Bimbo, S.A.B. de C.V. and Subsidiaries.

We approved the fee for these auditing services, including additional fees to account for the growth of the Group and other permitted services. We ensured that these payments did not compromise the independence of that firm.

The external auditors presented their approach and work program and areas of interaction with Grupo Bimbo's Internal Audit department, the Committee approved this presentation.

We maintained direct and close communication with the external auditors, and they informed us on a quarterly basis of the progress of their work and any observations they had; we took note of their comments on the quarterly and annual financial statements. We were promptly informed of their conclusions and reports on the annual financial statements.

In addition, we conducted an evaluation of the services of the external auditing firm for the year 2016 and were promptly informed of the preliminary financial statements.

Finally, during 2017 was carried out the contest process for the election of the external auditor for the period 2018-2022, as well as the election of the Transfer Pricing advisor, where Big 4 firms participated: Deloitte, KPMG, EY y PwC, being EY the one elected to be the external auditor, and PwC the advisor on Transfer Pricing matters.

INTERNAL AUDIT
(GRI 102-20)
We reviewed and approved the annual work plan and activities budget for 2017. In each of this Committee's meetings, we received and approved regular reports on the progress of the approved work plan.

We followed up on the comments and suggestions made by the Internal Audit area and verified that Management resolved any deviations from the established internal controls, and we therefore consider the status of that system to be reasonably correct.

We authorized an annual training plan for personnel of the area and verified its effectiveness. A number of specialized professional firms participated actively in that plan; to maintain the members with updated information on the appropriate topics.

We reviewed and approved the transformation program to strengthen the Internal Audit Department.

FINANCIAL INFORMATION AND ACCOUNTING POLICIES
(GRI 102-21)
We reviewed the quarterly and annual financial statements of the Company together with the parties responsible for their preparation, recommended their approval by the Board of Directors, and authorized their publication. Throughout the process we took into account the opinions and remarks of the external auditors.

To arrive at an opinion on the financial statements, we verified, with the support of the internal and external auditors, that the accounting policies and standards and the information used by management in the preparation of the financial statements was appropriate and sufficient and had been applied in a consistent manner with the prior year, taking into account the changes in International Financial Reporting Standard effective both in that year and the preceding year. As a result, the information presented by Management reasonably reflects the financial position, results of operations and cash flows of the Company.

COMPLIANCE WITH REGULATORY STANDARDS AND LAWS; CONTINGENCIES
(GRI 102-29, 102-30)
With the support of the internal and external auditors, we confirmed the existence and reliability of the controls established by the Company to assure compliance with the various legal provisions to which it is subject and assured that these were appropriately disclosed in the financial information.

At the close of each quarter, we reviewed the Company's various tax, legal and labor contingencies and confirmed that appropriate procedures were in place and consistently followed, so that Management could identify and address them in an appropriate manner.

The Risks Committee informed us of the methodology it follows to determine and evaluate the risks the group faces, and we verified that the risks were being monitored and mitigated where possible, and that they were considered in the work plans of the Internal Auditors.

Management explained to us the main guidelines that govern the anti-corruption policy, as well as plans for its dissemination and for checking on compliance with that policy, which we found satisfactory.

COMPLIANCE WITH OTHER OBLIGATIONS
We met with Management executives and officers as we considered necessary to remain abreast of the progress of the Company and any material or unusual activities and events.

We obtained information about significant matters that could involve a possible breach of operating policies, the internal control system and policies on accounting records, and we were also informed of corrective measures taken in each case, and found them satisfactory.

We did not find it necessary to request the support or opinion of independent experts, because the issues raised in each meeting were duly supported by the information on hand, and the conclusions reached were satisfactory to Committee members.

TRANSACTIONS WITH RELATED PARTIES
We reviewed and recommended for approval by the Board of each and every related party transaction requiring approval by the Board of Directors for fiscal year 2017, as well as for recurring transactions that are expected to be conducted in fiscal year 2018 that require Board approval.

EVALUATION OF MANAGEMENT
(GRI 102-27, 102-28)
We reviewed and recommended for approval by the Board the designation, evaluation and compensation of the Chief Executive Officer as well as the members Bimbo's Executive Committee in 2017.

In my capacity as Chairman of the Audit and Corporate Practices Committee, I reported regularly to the Board of Directors on the activities conducted within the Committee.

The work that we conducted was duly documented in minutes of each meeting, which were reviewed and approved at the time by the Committee members.

Sincerely,



Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
Grupo Bimbo, S.A.B. de C.V.

(GRI 102-45)

Mexico City, March 22, 2018

To the Board of Directors of Grupo Bimbo, S.A.B. de C.V.

In my capacity as chairman of the Audit and Corporate Practices Committee (the "Committee") of Grupo Bimbo, S.A.B. de C.V. (the "Company"), and in accordance with point e), section II of Article 42 of the Securities Market Act, I hereby present you the opinion of the Committee regarding the content of the report of the Chief Executive Officer regarding the financial situation and results of the Company for the year ended December 31, 2017.

In the opinion of the Committee, the accounting and information policies and criteria followed by the Company and used to prepare the consolidated financial information are appropriate and sufficient, and consistent with international financial reporting standards. Therefore, the consolidated financial information presented by the Chief Executive Officer reasonably reflects the financial situation and results of the Company as of December 31, 2017 and for the year ended on that date.

Sincerely,

Edmundo Vallejo Venegas
Chairman of the Audit and Corporate Practices Committee
of Grupo Bimbo, S.A.B. de C.V.







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ADR Level 1 Ticker:	**BMBOY**
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